



Enforcement Rules of KOSDAQ Market Disclosure Regulation

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TABLE OF CONTENTS

CHAPTER I. GENERAL PROVISIONS	4
§1. Purpose	4
§2. [Deleted on July 28, 2020].....	4
§3. Persons Whose Shares Are Excluded When determining the Largest Shareholder	4
§4. Disclosure Media	4
§4-2. Corporations exempted from Verification Procedure, etc.....	5
CHAPTER II. DISCLOSURE OBLIGATIONS	6
§5. Fictitious Reporting Time of Disclosure Matter	6
§5-2. Conclusion or Termination of Single Sales Contract or Supply Contract.....	6
§6. Non-facility Investment	6
6-2. Information about Counterparty, etc.	6
§6-3. Market Price-Dividends Ratio, etc.	7
§7. Reporting of Information about the Largest Shareholder, etc. after Change	7
§7-2. Guidelines for Judgment on Material Information subject to Disclosure	9
§7-3. Matters of Subsidiary to be disclosed.....	9
§8. [Deleted on February 27, 2013].....	10
§9. Methods, etc. of requesting Inquired Disclosure	10
§10. Scope of News subject to Inquired Disclosure of Listed Foreign Corporations.....	10
§11. Matters to be reported by Listed Foreign Corporations.....	11
§11-2. Qualifications of Disclosure Agent of Listed Foreign Corporations.....	11
§12. Basic Exchange Rates to be used by Listed Foreign Corporations	12
CHAPTER III. VOLUNTARY DISCLOSURE	12
§13. Voluntary Disclosure	12
§13-2. Corporations subject to Explanation Disclosure and Reporting Deadline, etc.....	15
CHAPTER IV. UNFAITHFUL DISCLOSURE.....	17
§14. Cases of Reversal of Disclosure made in Response to Inquired Disclosure, etc.	17
§14-2. Exceptions to the Report of Changes in Disclosed Matters	17
§15. Procedures for Designating as Unfaithful Disclosure Corporation, etc.....	17
15-2. Postponement of Designation as Unfaithful Disclosure Corporation, etc.	19
§16. Submission of Improvement Plan and Implementation Report, etc.	20
§17. Guidelines for Imposition of Fine for Noncompliance with Disclosure Obligation.....	21
§17-2. Request for Replacement of Disclosure Officer, etc. of Unfaithful Disclosure Corporation, etc.	22
§17-3. Imposition of Demerit Points, etc. with Regard to Monitoring of Fulfillment of Disclosure Obligations.....	22
§18. Suspension and Resumption of Trading	23
§18-2. Matters to be Reported for Market Management	25
§19. Publication of Matters about Market and Market Operation	25
§19-2. Reasons for withholding of Disclosures by the Exchange	25
§20. Withholding of Disclosures upon Request	26

§20-2. [Deleted on April 30, 2015]	27
§21. Reporting and Training, etc. of Disclosure Officer and Disclosure Staff.....	27
§21-2. Request for Replacement of Disclosure Officer, etc. Regarding Training, etc.	28
§21-3. Qualifications of Disclosure Agents.....	29
§21-4. English Disclosure.....	30
§21-5. Deemed Reporting Time of Disclosure Matters.....	30
§21-6. Matters subject to Inquired Disclosure.....	30
§21-7. Filing of Significant Lawsuit.....	31
§21-8. Making Changes to Existing Disclosure	31
§21-9. Method of Publication of Facts of Designation as Unfaithful Disclosure Company	32
§21-10. Suspension and Resumption of Trading.....	32
§21-11. Reporting of Disclosure Officer and Disclosure Staff, etc.....	33
§21-12. [Deleted on September 13, 2013].....	33
§21-13. [Deleted on September 13, 2013].....	33

CHAPTER V. SUPPLEMENTARY PROVISIONS..... 33

§22. Registration of Submitters of Electronic Documents	33
§23. Computation of Disclosure Periods	34
§24. Public Opinion Gathering	34

ADDENDA 35

[Annex 1] Guidelines for Deliberation of Disciplinary Actions against Unfaithful Disclosure..	51
[Annex 2] [Deleted on September 13, 2013].....	57
[Disclosure Form No. 1] Written Objection	58
[Disclosure Form No. 3] Notification of Fine for Noncompliance with Disclosure Obligations	60
[Disclosure Form No. 4] Written Request for Withholding of Disclosure.....	61
[Disclosure Form No. 4-1] Written Request for Continuous Withholding of Disclosure	62
[Disclosure Form No. 5] Written Report on Appointment (New or Change) of Disclosure Officer, etc.	63
[Disclosure Form No. 6] Acceptance of Responsibilities as Disclosure Officer of KOSDAQ- Listed Corporations	64
[Disclosure Form No. 7] Written Report on Appointment of Disclosure Agent.....	65
[Disclosure Form No. 8] Written Request for Linked Disclosure of Material Business Matters of Subsidiary by Holding Company (New / Change)	66
[Disclosure Form No. 9] Performance Report to Improvement Plan for Preventing Unfaithful Disclosure	67
[Disclosure Form No. 10] Power of Attorney for Delegating Authority for Corporate Disclosure to Disclosure Officer of KOSDAQ-listed Corporation	68

CHAPTER I. GENERAL PROVISIONS

§1. Purpose

The purpose of these Enforcement Rules is to provide the matters necessary for the enforcement of the KOSDAQ Market Disclosure Regulation. (Amended on July 28, 2020)

§2. [Deleted on July 28, 2020]

§3. Persons Whose Shares Are Excluded When determining the Largest Shareholder

“The person specified in the Enforcement Rules” in [§2(7)] of the KOSDAQ Market Disclosure Regulation (hereinafter referred to as “the Regulation”) shall refer to the entity falling under any of the following subparagraphs: (Amended on August 31, 2015; July 28, 2020)

1. The entities under Subparagraphs 1 and 2 of Article 10(1) of the Enforcement Decree of the Financial Investment Services and Capital Markets Act (hereinafter referred to as “the Enforcement Decree of the Act”);
2. The entities referred to from Subparagraphs 1 to 10 and from 13 to 16 of Article 10(2) of the Enforcement Decree of the Act. Provided, That, from among the entities referred to in Subparagraph 8 of Article 10(2) the Enforcement Decree of the Act, the trust business entities, discretionary investment business entities and investment advisory entities shall be excluded;
3. The entities referred to in Subparagraphs 3, 10, 11, 12 and 13 of Article 10(3) of the Enforcement Decree of the Act; and
4. The persons who are equivalent to subparagraphs 1 through 3 and who are deemed by the Korea Exchange (hereinafter referred to as “the Exchange”) to be reasonable to exclude them in calculating the number of shares owned by the largest shareholder, in consideration of the nature of investors and the purpose of holding the shares.

[February 3, 2009]

§4. Disclosure Media

“Disclosure media specified in the Enforcement Rules” in [§5(4)] of the Regulation shall refer to the electronic disclosure system that makes use of the information and communication network, the Daily Market Review (available only in Korean on the website of the Exchange), the financial information terminal operated by the KOSCOM (herein after referred to as “the financial information terminal”), etc. (Amended on July 28, 2020)

[February 3, 2009]

§4-2. Corporations exempted from Verification Procedure, etc.

(1) “KOSDAQ-listed corporation that meets the requirements specified in the Enforcement Rules” in the proviso to [§5(4)] of the Regulation shall refer to the corporation falling under all of the following subparagraphs (excluding listed foreign corporations and special purpose acquisition companies): (Amended on August 31, 2015; July 28, 2020)

1. Three (3) years shall be passed from the date of listing on the KOSDAQ market. In such cases, the elapsed period for the re-listing shall be based on the date of re-listing, and the elapsed period for the listing after merger by a special purpose acquisition company shall be based on the date of listing of new stocks issued by the merger;

2. Three (3) years shall be passed from the date of release in the case of having been designated as an administrative issue or investment attention issue pursuant to the KOSDAQ Market Listing Regulation; and

3. Three (3) years shall be passed from the date of designation in the case of having been designated as an unfaithful disclosure corporation pursuant to [§32] of the Regulation.

(2) The Exchange shall designate a KOSDAQ-listed corporation that meets the requirements under paragraph (1) as of the first trading day of July each year as a corporation exempted from the verification procedure. (Amended on July 28, 2020)

(3) In cases where a KOSDAQ-listed corporation designated as a corporation exempted from the verification procedure in accordance with paragraphs (1) and (2) becomes designated as an administrative issue or investment attention issue or unfaithful disclosure corporation, the Exchange shall immediately cancel the designation as a corporation exempted from the verification procedure: (Amended on July 28, 2020)

(4) [Deleted on July 28, 2020]

(5) “Matters to be disclosed specified in the Enforcement Rules” in [5(4)] of the Regulation shall refer to the matters to be disclosed that do not fall under any of the following subparagraphs: (Amended on August 31, 2015)

1. Matters to be disclosed in relation to [§29] of the KOSDAQ Market Listing Regulation or [§37] of the Regulation;

2. Matters to be disclosed in relating to [§28-2] of the KOSDAQ Market Listing Regulation;

3. Matters to be disclosed in relation to [§26-2] of the Regulation; and

4. Other matters to be disclosed that the Exchange deems necessary. [February 27, 2013]

(6) Notwithstanding the provisions of paragraphs (1) through (3), when a natural disaster, sudden and significant change in the economic situations or other incidents equivalent thereto have occurred, the Exchange may set forth differently the scope, time of designation or release from such designation as a corporation exempted from verification procedure. [February 26, 2020] (Amended on July 28, 2020)

CHAPTER II. DISCLOSURE OBLIGATIONS

§5. Fictitious Reporting Time of Disclosure Matter

(1) “Case where a reporting was made according to the manner stipulated in the Enforcement Rules due to an unavoidable reason” in [§6(1)] of the Regulation shall refer the case where a reporting is made by ten (10) minutes before the opening of the pre-hours session (in cases where the pre-hours session is not opened, by thirty (30) minutes before the opening of regular session).

(2) “Case where, due to an unavoidable reason, a reporting was made according to the manner stipulated in the Enforcement Rules” in [§20(1)] of the Regulation shall refer to a case where the reporting cannot not be made at the same time as the relevant matter to be reported occurs after 18:00 hours, and where the relevant reporting is made by ten (10) minutes before the opening of the pre-hours session on the next day [thirty (30) minutes before the opening of the regular session, if the pre-hours session is not open].
[November 14, 2011]

§5-2. Conclusion or Termination of Single Sales Contract or Supply Contract

"The amount specified in the Enforcement Rules" in [§6(1)1(c)] of the Regulation shall refer to KRW 300 million.

[November 25, 2021]

§6. Non-facility Investment

“Non-facility investment specified in the Enforcement Rules” in [§6(1)2(b)(iv)] of the Regulation shall refer to the investments noted in any of the following subparagraphs:
(Amended on September 1, 2010)

1. An investment for the production of films, records, entertainment, show performances, etc.
2. An investment for the production of games, programs, etc.
3. An investment for the production of educational materials, knowledge, information, publications, etc.; and
4. An investment through the contracts for entertainment and sports management.

[February 3, 2009]

6-2. Information about Counterparty, etc.

“Matters specified in the Enforcement Rules” referred to in items (b)(vi), (c)(iv), (c)(v) and (d)(viii) of [§6(1)2] of the Regulation shall refer to the matters noted in each of the following subparagraphs:

1. Personal information [in the case of a corporation, it refers to the name of the largest shareholder, current status of representative director (chief executive officer, for a company having adopted the executive officer system; the same hereinafter), financial statement of the latest fiscal year and auditor’s opinion thereon, suspension or closing of business, etc.];
2. Relationship with the relevant KOSDAQ-listed corporation and the largest shareholder and executive officers of the relevant corporation;
3. Details of transactions with the relevant KOSDAQ-listed corporation during the recent three (3) years (excluding those resulted from the routine transactions incidental to the business of the relevant KOSDAQ-listed corporation); and
4. In addition, the matters that the Exchange deems necessary.

[March 4, 2011]

§6-3. Market Price-Dividends Ratio, etc.

“Market price-dividends ratio specified in the Enforcement Rules” in [§6(1)2(e)(v)] of the Regulation shall refer to the percentage of dividend per share price (in the case of dividend in kind, it shall be the amount converted into cash) obtained by averaging the closing prices in the KOSDAQ Market for one (1) week retroactive from the day before two (2) trading days (in cases where a decision on dividends is made before the dividend record date, it shall be the trading day immediately preceding the date of decision) from the dividend record date (if the day is a holiday, it shall be the immediately preceding trading). (Amended on April 18, 2012; March 29, 2023)

[July 3, 2009]

§7. Reporting of Information about the Largest Shareholder, etc. after Change

(1) From among the “matters about the largest shareholder or representatives director stipulated in the Enforcement Rules” in [§6(1)3(a)(i)] of the Regulation, the matters about the largest shareholder after the change to be reported shall refer to those falling under each of the following subparagraphs: (Amended on February 3, 2009; March 4, 2011; August 31, 2015; December 29, 2016; May 2, 2018; July 28, 2020)

1. The information about the largest shareholder after the change [for a corporation or an organization (including associations; the same hereinafter), it shall include matters noted in each of the following items] and the relation between the KOSDAQ-listed corporation and the largest shareholder after the change;

- (a) The status (including the total number of outstanding stocks or the total amount of investment, and the number of stocks held by the largest shareholder or the equity shares

of the largest investor, etc.) of the largest shareholder (the largest investor for an entity that is not a company);

(b) The auditor's opinion and the financial status of the latest fiscal year;

(c) The fact on whether the business has been suspended or closed;

(d) For an association, the statute that authorizes establishment of such association; and

(e) For an entity that is under the obligation of mandatory holding pursuant to [§23(2)] of the KOSDAQ Market Listing Regulation, the investors whose ratio of equity share is 10% or more and their ratios.

2. Purpose of the acquisition and details of the financing for acquisition;

3. Composition of the management after the acquisition;

4. Measures to be taken for the shareholders;

5. In the case of becoming the largest shareholder as a result of acquiring the unclaimed shares, the number of shares acquired, purchasing price, matters about the board meeting that made the decision on handling of unclaimed shares, etc.; and

6. Other matters that the Exchange deems necessary.

(2) From among the "matters specified in the Enforcement Rules" in [§6(1)3(a)(i)] of the Regulation, the matters to be reported about the representative director after the change shall refer to the matter falling under each of the following subparagraphs: (Amended on February 3, 2009; July 28, 2020)

1. Relationship with the largest shareholder;

2. Major career of the representative director (including the career as an officer of a KOSDAQ-listed corporation prior to the appointment as the representative director of the relevant corporation); and

3. Other matters that the Exchange deems necessary.

(3) "Matters about the transferee of stocks or management rights specified in the Enforcement Rules" in the latter part of item (a)(ix)① of [§6(1)3] of the Regulation shall refer to the matters noted in each of the following subparagraphs: [December 29, 2016]

1. The information about the transferee of stocks or the transferee of management rights [in the case of a corporation or a group, the status of the largest shareholder (if not a company, the largest investor), the auditor's opinion and the financial status of the latest fiscal year, the fact on whether the business has been suspended or closed, etc. shall be included.];

2. Relationship between the KOSDAQ-listed corporation and the transferee of stocks or the

transferee of management rights;

3. Purpose of the takeover of stocks or management rights, and the details of financing for the takeover; and

4. In addition, the matters that the Exchange deems necessary.

§7-2. Guidelines for Judgment on Material Information subject to Disclosure

The guidelines referred to in [§6(4)] of the Regulation shall refer to any of the following subparagraphs:

1. In cases where an event or a decision concerning each of the following items falls under the criteria specified in the relevant item. Provided, That this provision shall not apply to the matters relating to the ordinary management activities.

(a) For a matter on business operation, product activities, etc.: Where it is 10/100 (5/100 for large-sized corporations) or more of sales amount of the latest fiscal year;

(b) For a matter on the securities issued, claims and liabilities, losses and profits, closing of accounts, etc.: Where it is 10/100 (5/100 for large-sized corporations) or more of equity capital; and

(c) For a matter on the investment activities, etc.: Where it is 10/100 (5/100 for large-sized corporations) or more of equity capital or total assets as at the end of the latest fiscal year.

2. In cases where an event or a decision other than those noted in subparagraph 1 brings about or is expected to bring about a significant impact on the management (including corporate governance, restructuring, survival, delisting, lawsuits, etc.) or properties of the relevant KOSDAQ-listed corporation, taking into consideration the size, current status, type of business and other characteristics of the relevant corporation.

[April 27, 2016]

§7-3. Matters of Subsidiary to be disclosed

“Cases where the relevant holding company has submitted a written request in the manner stipulated in the Enforcement Rules” in [§7(3)] of the Regulation shall refer to the cases where the holding company submitted a request in accordance with [Disclosure Form No. 8] with statements on the matters noted in each of the following subparagraphs:

1. Name of the corporation submitting the request and the date of request;

2. Reasons for the request;

3. Changes in the subsidiaries (limited to listed corporations); and

4. Other matters deemed necessary.

[September 1, 2010]

§8. [Deleted on February 27, 2013]

§9. Methods, etc. of requesting Inquired Disclosure

(1) [Deleted on February 3, 2009]

(2) “Rumors, news, etc. stipulated in the Enforcement Rules” in [§10(1)] of the Regulation shall refer to the information collected by the Exchange and the news items published in the general daily newspapers or special economic daily newspapers pursuant to the Act on Promotion of Newspapers, etc., which are circulated nationwide. [December 26, 2005] (Amended on May 14, 2007; February 3, 2009; November 14, 2011)

(3) “Material information specified in the Enforcement Rules” in [§10(2) & (6)] of the Regulation shall refer to the matter noted in any of the following subparagraphs: [February 9, 2011] (Amended on August 31, 2015; July 25, 2016)

1. Matters under [§6(1)1(c)] of the Regulation;
2. Matters under [§6(1)2(a)(i) through 2(a)(iv), 2(a)(vi) & 2(a)(x)] of the Regulation;
3. Matters under [§6(1)2(b)(vi)] of the Regulation;
4. Matters under [§6(1)2(e)(iv) & 2(e)(v)] of the Regulation;
5. Matters under [§6(1)3(a)(i), 3(a)(vii), 3(a)(viii) & 3(a)(ix)^㉞] of the Regulation; and
6. In addition to the matters noted in subparagraphs 1 through 5, the matters falling under each subparagraph of [§6(1)] of the Regulation, which are deemed to have had an influence on the price and trading volume of the issues listed on the KOSDAQ Market.

(4) In applying the time of the request for disclosure and the time of subsequent submission of the details of disclosure by the KOSDAQ-listed corporations under [§10(3)] of the Regulation, the market holidays noted in [§5(1)4 & 5] of the KOSDAQ Market Business Regulation shall be included. (Amended on December 26, 2005; February 3, 2009; July 28, 2020)

§10. Scope of News subject to Inquired Disclosure of Listed Foreign Corporations

The scope of news subject to inquired disclosure of listed foreign corporations under the provisions of [§20(2)] of the Regulation shall be the information collected by the Exchange and the news items published in the general daily newspapers or special economic daily newspapers prescribed in the Act on Promotion of Newspapers, etc., the circulation district of which is nationwide. (Amended on October 30, 2006; February 3, 2009; November 14, 2011)

[December 26, 2005]

§11. Matters to be reported by Listed Foreign Corporations

“Matters set forth in the Enforcement Rules” in [§21] of the Regulation shall be the matters falling under any of the following subparagraphs: (Amended on February 3, 2009)

1. Matters falling under any of the subparagraphs under [§38] of the Regulation;
2. Case where the depository institution or the details of depository agreement have been changed following the issuance of depository receipts of foreign stocks
3. Case where a list of the beneficial owners of the depository receipts of foreign stocks has been prepared;
4. Case where the number of depository receipts of foreign stocks has been changed as a result of the request for conversion of the depository receipts into underlying foreign socks.

[December 26, 2005]

§11-2. Qualifications of Disclosure Agent of Listed Foreign Corporations

“Requirements specified in the Enforcement Rules” in the proviso to [§22(1)] of the Regulation shall refer to all of the requirements in each of the following subparagraphs: (Amended on July 28, 2020)

1. Shall have an address or residence in Korea;
2. Shall be fluent both in Korean and the language of home country. Provided, That, in the case of appointing such person as an assistant, it shall be deemed that the relevant requirement is met;
3. Shall meet any of the following requirements:
 - (a) A person who has more than one (1) year of experience as a disclosure staff (including the disclosure agent; the same hereinafter in this Article) of a KOSDAQ-listed corporation (including KOSPI-stock-listed corporations; the same hereinafter in this Article); and
 - (b) A person who has completed the training course offered for disclosure staff under [§21(2)1].
4. The accumulated demerit points imposed as having been designated as an unfaithful disclosure corporation, as the disclosure staff of a KOSDAQ-listed corporation, during the latest two (2) years shall not exceed fifteen (15). In such cases, when the sum of demerit points is calculated based on the disclosure agent noted in subparagraph 3(a), it shall be based on the demerit points imposed on the cause of being designated as an unfaithful disclosure corporation after submitting a written report on the appointment of a disclosure agent to the Exchange.

(Wholly amended on May 3, 2019]

§12. Basic Exchange Rates to be used by Listed Foreign Corporations

“Basic exchange rates set forth in the Enforcement Rules” in [§23(2)] of the Regulation shall refer to the basic exchange rate or arbitrated rate of exchange under the Foreign Exchange Transactions Act (hereinafter in this Article referred to as the “basic exchange rate, etc.”) of the day in Korea that falls under the day when the cause of reporting has occurred. Provided, That, from among the details of the relevant matters to be reported, the financial details in the financial statement shall be applied with the exchange rate noted in each of the following subparagraphs:

1. For the matters concerning financial details in the financial statement or consolidated financial statement: The basic exchange rate, etc. as of the end of fiscal year for which the relevant financial statement is prepared. Provided, That, in cases where the equity capital has changed due to the increase or decrease in capital stock and capital surplus since the end of the latest fiscal year, the basic exchange rate, etc. as of the base date of the increase or decrease in capital stock and capital surplus, such as the payment date of capital increase and the base date for capital reduction.
2. For the matters concerning financial details in the income and loss statement, comprehensive income and loss statement, consolidated income and loss statement or consolidated comprehensive income and loss statement: Average of daily basic exchange rates of the fiscal year for which the relevant financial statement was prepared.

(Wholly amended on November 14, 2011)

CHAPTER III. VOLUNTARY DISCLOSURE

[February 3, 2009]

§13. Voluntary Disclosure

“A matter that is stipulated in the Enforcement Rules” in [§26] of the Regulation shall refer to an event or a decision falling under any of the following subparagraphs: (Amended on February 3, 2009; February 27, 2013; March 26, 2013; July 16, 2013; August 31, 2015; April 27, 2016; December 29, 2016; September 26, 2019; July 28, 2020; May 23, 2024; November 14, 2024)

1. [Deleted on December 29, 2016]
2. A decision to invest in natural resource development that will affect the management, property, etc. of the KOSDAQ-listed corporation. In such cases, the progresses of relevant natural resource development shall be reported within seven (7) days after the submission of semiannual and annual reports, and when the relevant natural resource development is halted, such fact shall be reported without delay;

3. With regard to the natural resource development of a KOSDAQ-listed corporation, when the economic feasibility of the volume of reserves and production, etc. is proved. In such cases, an appraisal report issued by the institution noted in each of following items and the statement on the appraisal institution shall be submitted:

(a) Korea Mine Rehabilitation and Mineral Resources Corporation;

(b) Korea Institute of Geosciences and Mineral Resources; and

(c) As an entity with at least five (5) years of experiences in appraising natural resource development projects, the entity that has the record of appraising the natural resource development activity of KOSDAQ-listed corporations (including KOSPI-stock-listed corporations and the corporations listed on foreign exchanges).

4. When there are profits resulting from the decrease in short-term borrowings, debt relief, receipt of donation and transaction of derivatives products, or making a decision to donate, which may affect the financial status of a KOSDAQ-listed corporation;

5. Case where any of the following incidents has occurred to a KOSDAQ-listed corporation or its largest shareholder:

(a) When becoming the oligopolistic stockholder under Subparagraph 2 of Article 39 of the Framework Act on National Taxes of a mutual savings bank or such status has changed;

(b) When the capital adequacy ratio defined by the Bank of International Settlement of a mutual savings bank, in which the above-mentioned person is the oligopolistic stockholder, fell below 8%;

(c) For each quarter, when the financial statement of the mutual savings bank prescribed in item (b) has been finalized; and

(d) When a lawsuit has been filed in relation to Article 37-3(2) of the Mutual Savings Banks Act.

6. In cases where a KOSDAQ-listed corporation is a financial institution, and when the relevant financial institution or its executive receives measures falling under any of the following items in accordance with the relevant laws and regulations:

(a) When the financial institution has become subject to a recommendation, demand or order for the management improvement, or measures such as conclusion of an agreement for management improvement, etc.; and

(b) When an executive of the financial institution has become subject to the sanctions falling under any of the subparagraphs of [§18(1)] of the Regulations on Examination and Sanctions against Financial Institutions.

7. When a legal proceeding such as a lawsuit for nullification or revocation of a merger, takeover or transfer of business, split-off or merger after split-off, or all-inclusive share swap

or transfer, or the resolution thereon at the general shareholders' meeting was filed, or a court ruling or decision on such lawsuit was made;

8. When there has been a change in the major shareholders or affiliated companies;

9. [Deleted on April 27, 2016]

10. [Deleted on April 27, 2016]

11. When an offering of paid-in capital increase or equity-related bonds, or the outcome of the issuance has been finalized;

12. The matters falling under any of the followings in relation to the information on green management:

(a) Being granted with the certification of conformity for green technology and green projects or accreditation of specialized green enterprises, and cancellation of such certification or accreditation, pursuant to Article 60 of the Framework Act on Carbon Neutrality and Green Growth for Coping with Climate Crisis (hereinafter referred to as "the Carbon Neutrality Act");

(b) Being designated as a controlled entity or cancellation thereof pursuant to Article 27 of the Carbon Neutrality Act;

(c) Being imposed of measures such as an order for improvements, a request for correction or supplementation, administrative fine, etc. issued under the Carbon Neutrality Act;

(d) Being designated as green enterprises or cancellation thereof pursuant to Articles 16-2 and 16-3 of the Environmental Technology and Industry Support Act; and

(e) Matters related to the acquisition or disposal of the greenhouse gas emission permits, which are deemed to be informed to the investors.

13. When a decision to undertake the revaluation for each class of tangible assets was first made and when, as a result of the asset revaluation, it has been confirmed that there is an increase or reduction in the amount of asset revaluation, which affects the operation and property, etc. of a KOSDAQ-listed corporation;

14. The matters falling under any of the followings in relation to the family-friendly management information:

(a) Obtaining the family-friendly certification under Article 15 of the Act on the Promotion of Creation of Family-friendly Social Environment (hereinafter referred to as the "Family-friendly Act"), extension of the term of validity of the certification pursuant to Article 17 of the same Act and revocation of the certification pursuant to Article 18 of the same Act; and

(b) Being imposed of the fine for negligence under Article 25 of the Family-friendly Act.

15. When the production activity of a factory is restored to the normal operation as the cause for the suspension or shutdown of the factory is resolved after the production activity that affects the operation and property, etc. of a KOSDAQ-listed corporation has been suspended or closed;

16. When a decision to make the status of information security public pursuant to Article 13(1) of the Act on the Promotion of Information Security Industry has been made;

17. When a KOSDAQ-listed corporation that is a special purpose acquisition company, after having made a decision on the merger with an unlisted corporation, has acknowledged a fact or decision about the relevant unlisted corporation, which falls under the matters to be disclosed pursuant to [§6] of the Regulation and is deemed necessary to inform the investors thereof; or

18. When a decision to disclose a report on the sustainable management (referring to the sustainable management provided in Article 19(1) of the Industrial Development Act) has been made;

19. The fact on having been selected as an excellent work innovation enterprise in relation to the work innovation incentive system implemented by the Ministry of Employment and Labor pursuant to Subparagraph 7 of Article 35 of the Enforcement Decree of the Employment Insurance Act;

20. Whether the board of directors complies with the obligation to ensure diverse gender composition pursuant to Article 165-20 of the Financial Investment Services and Capital Markets Act (hereinafter referred to as “the Act”);

21. When establishing a corporate value enhancement plan; and

22. When an improvement period is granted based on the results of the deliberation and resolution by the Corporate Review Committee or the Market Committee of the KOSDAQ market in relation to the listing maintenance review, the main contents of the improvement plan reviewed and confirmed by the relevant Committee. [March 28, 2025]

23. As the matters that are equivalent to subparagraphs 1 through 22 or the matters that do not meet the criteria on ratios specified for the matters to be reported or disclosed in [§6] through [§7] of the Regulation, those that are deemed to affect the operation and property of the company and the investors’ investment decisions.

[December 26, 2005]

§13-2. Corporations subject to Explanation Disclosure and Reporting Deadline, etc.

(1) Pursuant to [§26-2(3)] of the Regulation, the corporations subject to the explanation

disclosure shall be the KOSDAQ-listed corporations, excluding the cases that the Exchange deems necessary for the investor protection, etc.: (Amended on September 20, 2018; July 28, 2020)

(2) The rumors or news subjects to explanation pursuant to [§26-2(3)] of the Regulation shall refer to any of the following subparagraphs. Provided, That rumors or news falling under any of the subparagraphs of [§37(2)] of the Regulation may not be subject to explanation. (Amended on September 20, 2018)

1. News articles published in the newspapers referred to in [§9(2)];
2. News articles published in online newspapers under Subparagraph 2 of Article 2 of the Act on the Promotion of Newspapers, etc.;
3. News information provided by the national key news agency registered pursuant to Article 8 of the Act on the Promotion of News Communications; and
4. News information provided by international news information providers or communication agencies that are recognized by the Exchange.

(3) The matters that are deemed to have an effect on the stock price and trading volume of the KOSDAQ-listed corporation, as stipulated in [§26-2(1)2] of the Regulation shall refer to the matters falling under any of the following subparagraphs:

1. Matters concerning the relation with a specific person or government policy, and the relation between a specific theme in the stock market such as resource development business, etc. and the KOSDAQ-listed corporations;
2. Matters concerning the inspection, investigation, etc. by the Securities and Futures Commission in relating to the violation of accounting standards;
3. Matters concerning filing of, application for, judgment or decision, etc. on lawsuits, etc. against the relevant KOSDAQ-listed corporation, in addition to the lawsuits, etc. stipulated in [§6(1)3(c)] of the Regulation;
4. Matters concerning the result of an important clinical trial;
5. Matters concerning the improvement or deterioration of business performance of KOSDAQ-listed corporations;
6. Matters concerning establishment, amendment or abolition of domestic and foreign laws and regulations, etc., or conclusion, revision or termination of treaties, etc. that affect the management and business activities of KOSDAQ-listed corporations;
7. Matters concerning the selection of the preferred bidder that may affect the management and property, etc. of KOSDAQ-listed corporations;
8. Matters concerning the change of personal status such as long-term hospitalization or being arrested on criminal case of the representative director (including the chief executive officer) or the person who falls under Article 401-2(1)1 of the Commercial Act, which may interfere with the performance of his/her duties; and

9. Other matters that are deemed to have significant effect on the investment decisions of investors and that the Exchange deems them to be necessary for explanation.

(4) The deadline for reporting of the explanation disclosure under [§26-2(3)] of the Regulation shall refer to the date of occurrence of the rumors or news, etc. Provided, That, in cases where the rumors or news, etc. occur after 18:00 hours and there are any other unavoidable reasons, it may be reported by ten (10) minutes before the opening of the pre-hours session of the next trading day (if the pre-hours session is not open, it shall be thirty (30) minutes before the opening of the regular session).

[August 31, 2015]

CHAPTER IV. UNFAITHFUL DISCLOSURE

§14. Cases of Reversal of Disclosure made in Response to Inquired Disclosure, etc.

(1) “Matters which are specified in the Enforcement Rules” in [§28(1)3] of the Regulation shall refer to the matters under subparagraphs 1 through 5 of [§9(3)]. (Amended on February 3, 2009; February 9, 2011)

(2) “Matters specified in the Enforcement Rules” in [§28(2)1] of the Regulation shall refer to the matters under [§9(3)6]. [February 9, 2011]

(3) “Matters specified in the Enforcement Rules” in [§28(2)5] of the Regulation shall refer to the matters under each subparagraph of [§9(3)]. [February 9, 2011]

(Wholly amended on December 26, 2005)

§14-2. Exceptions to the Report of Changes in Disclosed Matters

“Cases which are set forth in the Enforcement Rules” in [§30] of the Regulation shall refer to the cases where the starting date or ending date of the contract period changes within ten (10) days after making a disclosure pursuant to [§6(1)1(c)] (including the case where the relevant material business matter was disclosed voluntarily pursuant to subparagraph 23 of [§13] as its ratio is below the ratio criteria for the relevant matter to be disclosed, and the case of reporting the changes in the details of a disclosure already made pursuant to [§30]). [April 30, 2015] (Amended on July 25, 2016; May 2, 2018; July 28, 2020; May 23, 2024; March 28, 2025)

§15. Procedures for Designating as Unfaithful Disclosure Corporation, etc.

(1) “Matters set forth in the Enforcement Rules” in [§32(3)] of the Regulation shall be each of the following subparagraphs: (Amended on December 26, 2005; September 22, 2008; February 3, 2009; March 6, 2018; July 28, 2020)

1. The motivation for noncompliance, such as “intentional”, “gross negligence”, “ordinary negligence” or “insignificant negligence”;
2. The seriousness of violation;
3. The effect that the violation had on the investment decisions of investors;
4. The time period elapsed since the occurrence of unfaithful disclosure;
5. Whether the fact about the noncompliance was reported voluntarily; and
6. Other matters that the Exchange deems them necessary.

(2) In cases where the Exchange increases or reduces the demerit points after considering the matters noted in paragraph (1) pursuant to [§32(3)] of the Regulation, the deliberation for determination of the demerit points and fines shall be carried out in conformity with the guidelines specified in [Annex 1]. (Amended on December 26, 2005; September 22, 2008; February 3, 2009)

(3) When making public the fact about the designation as unfaithful disclosure corporation pursuant to [§32(5)] of the Regulation, the Exchange shall publish the details for five (5) consecutive times in the Daily Stock Market Review (available only in Korean language on the website of the Exchange) from the date of designation and indicate the word, “불”(meaning “unfaithful”) or “불성실공시법인”(meaning “unfaithful disclosure corporation”) in the price information table of the Daily Stock Market Review or financial information terminals, etc. for a period specified in each of following subparagraphs based on the demerit points (in cases where demerit points are imposed pursuant to [§15-2(2)] due to the relevant designation of unfaithful disclosure corporation, those points shall be included; the same hereinafter in this Paragraph) imposed pursuant to [§32(2)] of the Regulation, including the day when such fact is first publicly announced. Provided, That, if the demerit point is less than two (2), it may not be indicated in the Daily Stock Market Review or financial information terminals. (Amended on December 26, 2005; May 14, 2007; February 3, 2009; August 31, 2015; July 28, 2020):

1. Where the demerit point imposed is less than five(5): For one (1) week
2. Where the demerit point imposed is five (5) or more, but less than 10: For two (2) weeks; and
3. Where the demerit point imposed is 10 or more: For one (1) month.

(4) The fact about unfaithful disclosure that was published pursuant to paragraph (3) may be made public in a separate manner if the Exchange deems it necessary.

(5) [Deleted on September 22, 2008]

(6) During the period of trading under [§23] of the KOSDAQ Market Listing Regulation, the provisions of [§32(3)] of the Regulation shall not apply. (Amended on February 3, 2009)

(7) [Deleted on September 22, 2008]

(8) Any corporation intending to file an official objection in relation to the designation as unfaithful disclosure corporation shall submit each of the following documents pursuant to [§32(11)] of the Regulation: (Amended on February 3, 2009)

1. A written objection under [Disclosure Form No. 1]; and
2. Other documents that the Exchange deems necessary in relation to filing an objection.

(9) “Requirements set forth in the Enforcement Rules” in [§32(12)] of the Regulation shall refer to any of the following subparagraphs: [May 3, 2019] (Amended on July 28, 2020; October 27, 2021; November 25, 2021, December 9, 2022)

1. Cases where a KOSDAQ-listed corporation falls under all of the followings:
 - (a) The motivation for noncompliance shall be “ordinary negligence” or “insignificant error”, or the level of seriousness for noncompliance shall be “insignificant violation”;
 - (b) The demerit point imposed shall be less than eight (8);
 - (c) The relevant unfaithful disclosure shall not fall under [§56(1)12] of the KOSDAQ Market Listing Regulation; and (Amended on July 2, 2026)
 - (d) There shall be no official objection filed pursuant to [§32(2)] of the Regulation.
2. Cases where a KOSDAQ-listed corporation, which has been undergoing the listing maintenance review pursuant to [§56(1)12] of the KOSDAQ Market Listing Regulation, has not been released from the designation as an administrative issue, which is caused by the same reason. (Amended on July 10, 2025; July 2, 2026)

15-2. Postponement of Designation as Unfaithful Disclosure Corporation, etc.

(1) Pursuant to the proviso to [§32(3)] of the Regulation, in the case where the violation of disclosure obligation of a KOSDAQ-listed corporation that falls under subparagraph 1 meet subparagraph 2, the Exchange may defer the designation as an unfaithful disclosure corporation for the relevant corporation under the condition that the relevant corporation would not receive a prior notice on designation as an unfaithful disclosure corporation within six (6) months. In such cases, the postponement of designation as an unfaithful disclosure corporation shall be limited to one (1) time per case. (Amended on March 6, 2018; November 25, 2021; March 28, 2025)

1. A corporation that falls under any of the following items: (Amended on March 28, 2025)
 - (a) A KOSDAQ-listed corporation selected as an outstanding disclosure corporation in the last 3 years; and [March 28, 2025]
 - (b) A KOSDAQ-listed corporation selected as an excellent value-up companies according to the Guidelines for Selection of Excellent Value-up Companies. [March 28, 2025]

(c) A corporation exempt from the review procedure pursuant to the proviso to [§5(4)] of the Regulation. [March 28, 2025]

2. All OF the following requirements must be met: (Amended on March 28, 2025)

(a) The motivation for non-compliance shall be ordinary negligence or insignificant error or the level of seriousness for non-compliance shall be insignificant violation; and [March 28, 2025]

(b) The demerit point imposed shall be less than eight (8). [March 28, 2025]

(2) In cases where a KOSDAQ-listed corporation, of which the designation as unfaithful disclosure corporation was postponed pursuant to the proviso to [§32(3)] of the Regulation and paragraph (1) is newly given a prior notice on designation as unfaithful disclosure corporation within six (6) months, the corporation shall be designated as unfaithful disclosure corporation with respect to the case postponed, based on the date of designation as unfaithful disclosure corporation pursuant to the main sentence of [§32(3)] of the Regulation following the notice and the deferred demerit points shall be imposed.

(3) Pursuant to [§32(5)] of the Regulation, the Exchange shall publish the facts about the postponement of designation as unfaithful disclosure corporation and the designation of the postponed case as unfaithful disclosure corporation pursuant to paragraph (2) through the disclosure media.

(4) The Exchange may impose two (2) demerit points in cases when a KOSDAQ-listed corporation, which has been deferred from the designation as an unfaithful disclosure corporation pursuant to paragraph (1), fails to meet the obligation under [§45(2)] of the Regulation within six (6) months. Provided, That, in the case where the relevant corporation becomes subject to the listing maintenance review pursuant to [§56(1)12] of the KOSDAQ Market Listing Regulation as a result of the concerned demerit points, the demerit points imposed may be reduced or exempted by deliberation of the Committee. [November 25, 2021] (Amended on December 9, 2022; July 10, 2025)

[August 31, 2015]

§16. Submission of Improvement Plan and Implementation Report, etc.

(1) The improvement plan under [§33(2)] of the Regulation shall be prepared in accordance with [Disclosure Form No. 2], stating the matters noted in each of the following subparagraphs, and submitted within 10 days from the date of the Exchange's request for submission: (Amended on February 3, 2009; June 22, 2012; August 31, 2015)

1. Name of submitting corporation and the date of submission;
2. Causes and process of the non-fulfillment of disclosure obligations;
3. Details of the improvement plan, including the structural reform necessary for prevention of recurrence of the non-fulfillment and the implementation schedule; and

4. Other matters necessary.

(2) The implementation report under [§33(2)] of the Regulation shall contain the matters noted in each of the following subparagraphs in accordance with [Disclosure Form No. 9] and be submitted to the Exchange: [August 31, 2015]

1. Name of submitting corporation and the date of submission;
2. Causes and process of the non-fulfillment of disclosure obligations;
3. Details of implementation of the plans for improvement stated by the relevant corporation in the improvement plan; and
4. Other necessary matters.

(3) In the event that a KOSDAQ-listed corporation fails to submit the improvement plan pursuant to paragraph (1) or the implementation report pursuant to paragraph (2), or fails to implement the improvement plan, the Exchange may impose two (2) demerit points on the relevant corporation. Provided, That, if, as a result of imposition of the relevant demerit points, the relevant corporation may be subject to the listing maintenance review pursuant to the provisions of [§56(1)12] of the KOSDAQ Market Listing Regulation, the demerit points may be reduced or exempted through the deliberation by the KOSDAQ Market Disclosure Committee (hereinafter referred to as “the Committee”). (Amended on February 3, 2009; June 22, 2012; August 31, 2015; May 2, 2018; July 28, 2020, December 9, 2022; July 10, 2025)

(4) In cases where the Exchange decides to carry out the listing maintenance review pursuant to [§57(1)] of the KOSDAQ Market Listing Regulation for the KOSDAQ-listed corporations that falls under [§33(1)] of the Regulation, it may not request the submissions of the improvement plan and the implementation report. [July 28, 2020]

§17. Guidelines for Imposition of Fine for Noncompliance with Disclosure Obligation

(1) The matters concerning the imposition guidelines and amounts of fine, whether to impose concurrently the demerit point and the fine, or to choose either the demerit point or fine noted in [§34(2)] of the Regulation, and the imposition of additional demerit point pursuant to [§34(3)] of the Regulation shall be as specified in [Annex 1].

(2) When imposing the fine in accordance with [Annex 1], the Exchange shall send the notification to the KOSDAQ-listed corporation according to [Disclosure Form No. 3]. In such cases, the payment deadline of fine shall be one (1) month from the date of notification. (Amended on July 28, 2020)

(3) In addition, the matters relating to the use and management of the fine shall separately be determined by the Exchange.

[February 3, 2009]

§17-2. Request for Replacement of Disclosure Officer, etc. of Unfaithful Disclosure Corporation, etc.

(1) “As specified in the Enforcement Rules” in [§34-2(1)] of the Regulation shall refer to the case where the Exchange deems it necessary to change the disclosure officer and disclosure staff (including disclosure agents; the same hereinafter in this Article), as it falls under any of the following subparagraphs: (Amended on May 3, 2019)

1. Where the motivation and seriousness of violation falls under “intentional” and “serious violation”, respectively, according to the guidelines for deliberation of disciplinary actions against unfaithful disclosure under [Annex 1]; and
2. Where the corporation is designated as unfaithful disclosure corporation three (3) times or more in the latest one (1) year.

(2) In cases where a KOSDAQ-listed corporation fails to replace its disclosure officer and disclosure staff within one (1) month from the date of the request for replacement under [§34-2(1)] of the Regulation, the Exchange may impose demerit points on the relevant corporation pursuant to each of the following subparagraphs. Provided, That, if, as a result of the imposition of the relevant demerit points, the relevant corporation may be subject to the listing maintenance review pursuant to the provisions of [§56(1)12] of the KOSDAQ Market Listing Regulation, the demerit points may be reduced or exempted through the deliberation by the Committee: (Amended on May 2, 2018; July 28, 2020, December 9, 2022; July 10, 2025)

1. Where the corporation fails to replace both of the disclosure officer and disclosure staff: 3 points; and
2. Where the corporation fails to replace either the disclosure officer or disclosure staff: 2 points.

(3) In cases where the Exchange deems that the relevant corporation has an unavoidable reason not to replace the disclosure officer and disclosure staff by the deadline specified in paragraph (2), the deadline may be extended within one (1) month period.

(4) In the case of requesting for replacement pursuant to [§34-2(1)] of the Regulation and imposing demerit points pursuant to paragraph (2), the Exchange may officially announce such fact, etc. through the disclosure media.

[August 31, 2015]

§17-3. Imposition of Demerit Points, etc. with Regard to Monitoring of Fulfillment of Disclosure Obligations

(1) Pursuant to [§35(4)] of the Regulation, the Exchange may impose two (2) of demerit points on the KOSDAQ-listed corporation that fails to comply with the request for submission of materials. Provided, That, if, as a result of the imposition of such demerit points, the relevant corporation may be subject to the listing maintenance review pursuant to [§56(1)12] of the KOSDAQ Market Listing Regulation, the demerit points may be reduced or exempted through

the deliberation by the Committee. (Amended on May 2, 2018; July 28, 2020, December 9, 2022; July 10, 2025)

(2) In the case of imposing demerit points pursuant to paragraph (1), the Exchange may officially announce such fact, etc. through the disclosure media.

[April 27, 2016]

§18. Suspension and Resumption of Trading

(1) “Matters that have significant influence on the stock price or trading volume and are specified in the Enforcement Rules” in [§37(1)2] of the Regulation shall refer to any of the following subparagraphs: (Amended on December 26, 2005; October 30, 2006; May 14, 2007; February 3, 2009; December 18, 2009; November 14, 2011; February 27, 2013; April 27, 2016; December 20, 2017; July 28, 2020)

1. From among the matters under [§6(1)1(c)] of the Regulation, conclusion of a single sales contract or supply contract, the contract amount of which is more than the sales of the latest fiscal year (limited to the case of KRW 10 billion or more);

1.2. From among the matters under [§6(1)2(a)(i) or (ii)] of the Regulation, a capital increase without consideration, the allotment ratio of which is 20% or higher, and a capital reduction or stock retirement, the amount of which is 20% or more of the total number of stocks issued;

2. From among the matters under item (e)(iii) of [§6(1)2] of the Regulation, those noted in item (e)(iii)⑥. Provided, That it shall be limited to the case where the relevant details were confirmed for the first time;

3. From among matters under item (e)(iv) of [§6(1)2] of the Regulation, a stock dividend, the dividend ratio of which is 20% or higher;

3-2. When the fact about the violation of accounting standards falling under item (e)(vi) of [§6(1)2] of the Regulation has been confirmed;

4. [Deleted on February 3, 2009]

5. [Deleted on February 3, 2009]

6. Matters under item (a)(vii) of [§6(1)3] of the Regulation. Provided, That a stock swap that is subject to trading suspension pursuant to [§29(1)5(d)] of the Enforcement Rules of KOSDAQ Market Listing Regulation shall be excluded;

7. Matters under item (a)(viii) of [§6(1)3] of the Regulation. Provided, That the matters under Articles 527-2, 527-3 and 530-12 of the Commercial Act shall be excluded; and a merger or business takeover that is subject to trading suspension pursuant to [§29(1)5(d) & 5(e)] of the Enforcement Rules of KOSDAQ Market Listing Regulation shall be excluded;

8. Matters under item (b)(iv) of [§6(1)3] of the Regulation. Provided, That it shall be limited

to the case where the relevant details were confirmed for the first time and this provision shall not apply to the matters concerning the progress thereafter;

9. As a case where a lawsuit is filed against a KOSDAQ-listed corporation, of the matters to be disclosed pursuant to [§6(1)3(c)(v)] and [§39(2)4] of the Regulation, the case where a court judgment or decision has been rendered with respect to the filing of a lawsuit (including an appeal to a higher court) and the application for a permission thereof, the permission or denial to proceed with the lawsuit, the application for permission on dismissal of the lawsuit (including the dismissal of an appeal), reconciliation or renunciation of a claim (including renunciation of an appeal right). Provided, That it shall be limited to the case where the relevant details were confirmed for the first time and this provision shall not apply to the matters concerning the progress thereafter;

9-2. Matters falling under any of the cases noted in subparagraph 4 of [§9-2(1)] or subparagraphs 2(b) through 2(d) of [§9-2(2)] of the Regulation;

10. Matters falling under item (a) of [§6(1)1] of the Regulation. Provided, That, the cases with business suspension for one (1) month or less shall be excluded; and

11. The matters equivalent to those under subparagraphs 1 through 10 and other matters for which the trading suspension is deemed necessary for the public interest, protection of investors and market management.

(2) Pursuant to [§37(3)] of the Regulation, the duration of trading suspension of an issue, the trading of which is suspended pursuant to the provisions of [§37(1)] of the Regulation shall be any of the follow subparagraphs: (Amended on December 26, 2005; February 3, 2009; February 27, 2013; July 28, 2020)

1. In the case of falling under the provisions of [§37(1)1] of the Regulation, the trading shall resume when thirty (30) minutes have elapsed after disclosing the result of the inquiry about the cause for the suspension. Provided, That, if the time of disclosure is after sixty (60) minutes before the closing of the regular session, the trading shall resume on the following trading day, and if it is before the opening of the regular session of the day, the trading shall resume when thirty (30) minutes have elapsed after the opening of the regular session of the day. In such cases, the Exchange may postpone resumption of the trading if the rumors, etc. persist even after having made the disclosure on the result of the inquiry;

2. In the case of falling under the provisions of [§37(1)2] of the Regulation, it shall be for thirty (30) minutes from the time when the relevant disclosure was made, and if the time of disclosure is after sixty (60) minutes before the closing of the regular session, the trading shall resume on the following trading day. In such cases, if the time of disclosure is before the opening of the regular session of the day, the trading shall resume when thirty (30) minutes have elapsed after the opening of the regular session of the day;

3. In the case of falling under the provisions of [§37(1)3] of the Regulation, it shall be for one (1) day;

4. In the case of falling under the provisions of [§37(1)5] of the Regulation, the trading shall resume when thirty (30) minutes have elapsed after the time of disclosure of the result of the

inquiry from the time when the fact about the violation was confirmed. Provided, That, if the time of disclosure is after sixty (60) minutes before the closing of the regular session, the trading shall resume on the following trading day, and if it is before the opening of the regular session of the day, the trading shall resume when thirty (30) minutes have elapsed after the opening of the regular session of the day; and

5. In the case where the Exchange deems necessary for the protection of investors under [§37(1)6] of the Regulation, it shall be one (1) day. Provided, That, the Exchange may extend the period if it deems necessary.

(3) “Case where a KOSDAQ-listed corporation is imposed of demerit points equal to or greater than the scale specified in the Enforcement Rules” in [§37(1)3] of the Regulation shall refer to the case where the demerit points imposed pursuant to [§32(3)] of the Regulation (in the case of having been imposed the demerit points due to the designation as unfaithful disclosure corporation pursuant to [15-2(2)], those points shall be included) is eight (8) or more. [September 20, 2010] (Amended on June 22, 2012; August 31, 2015; July 28, 2020)

(4) [Deleted on December 26, 2005]

(5) Computation of the period under paragraph (2) shall be made based on the trading days (including the days of trading suspension) under [§4(3)] of the KOSDAQ Market Business Regulation. (Amended on December 26, 2005; February 27, 2013; August 31, 2015)

(6) The provisions of [§37(1)] of the Regulation shall not apply during the trading period under [§47] of the KOSDAQ Market Listing Regulation. (Amended on December 26, 2005)

(7) The Exchange may provide information on trading suspension to a multilateral trading company when necessary for investor protection and market management. [February 27, 2025]

§18-2. Matters to be Reported for Market Management

The demerit points under [§38(2)] shall be two (2). Provided, That, if, as a result of the imposition of such demerit points, the relevant corporation may be subject to the listing maintenance review pursuant to the provisions of [§56(1)12] of the KOSDAQ Market Listing Regulation, the demerit points may be reduced or exempted through the deliberation by the Committee. (Amended on May 2, 2018, December 9, 2022; July 10, 2025)

[December 4, 2009]

§19. Publication of Matters about Market and Market Operation

The Exchange shall make public the information about the market operation specified in [§40] of the Regulation by posting the relevant information on the disclosure media. (Amended on February 3, 2009)

§19-2. Reasons for withholding of Disclosures by the Exchange

“Cases where it is deemed that the sound trading practices in the KOSDAQ Market is likely to be undermined” in subparagraph 5 of [§41] of the Regulation shall refer to the case in any of the following subparagraphs:

1. Case where a KOSDAQ-listed corporation designated as an unfaithful disclosure corporation [limited to the case where the corporation has been designated as an unfaithful disclosure corporation as the outcome of the disclosure made pursuant to [§12(1)2] of the Regulation (referred to as “forward-looking disclosure” hereinafter in this Subparagraph) is not consistent with the predictions or projection and the disclosure is not made in the manner under each subparagraph of [§16] of the Regulation] pursuant to [§32] of the Regulation discloses a forward-looking disclosure for the fiscal year in which the date of the relevant designation as unfaithful disclosure corporation falls or the following fiscal year, without following the manners noted in each subparagraph of [§16] of the Regulation; and
2. Other case where the Exchange deems that the credibility of the information disclosed in the KOSDAQ Market is likely to be undermined, damaging the sound market.

[July 16, 2013]

§20. Withholding of Disclosures upon Request

(1) “Matters specified in the Enforcement Rules” in [§42(1)] of the Regulation shall refer to each of the following subparagraphs: (Amended on August 31, 2015; April 27, 2016; May 2, 2018)

1. For the matters noted in [§6(1)1(c)] of the Regulation: The key terms of the contract such as name of counterparty, contract amount, etc.;
2. For the matters noted in [§6(1)2(b)(iv)] of the Regulation: The investment amount, etc.;
3. For the matters noted in [§6(1)(d)] of the Regulation: The matters for which the relevant KOSDAQ-listed corporation has requested, specifying the detailed reasons for keeping the business confidentiality and the scope of disclosure to be withheld; and
4. For the matters noted in [§7(1)] of the Regulation: The matters falling under subparagraphs 1 through 3 of this Paragraph.

(2) When requesting for withholding of a disclosure pursuant to the provisions of [§42(1)] of the Regulation, a written request prepared in accordance with [Disclosure Form No. 4] shall be submitted.

(3) The “matters specified in the Enforcement Rules” in the proviso to [§42(3)] of the Regulation shall refer to the counterparty of the contract, from among the matters, the disclosure of which is to be withheld pursuant to paragraph (1). [May 2, 2018]

(4) When intending to report pursuant to the proviso to [§42(3)] of the Regulation, a KOSDAQ-listed corporation shall submit a written request under [Disclosure Form No. 4-1] by the day

following the day on which the withholding period ends or the conditions for withholding are lifted. In such cases, the corporation may only state overall contents of the contract such as the nationality and industry of the counterparty, not the name thereof. [May 2, 2018]

[February 3, 2009]

§20-2. [Deleted on April 30, 2015]

§21. Reporting and Training, etc. of Disclosure Officer and Disclosure Staff

(1) “Documents set forth in the Enforcement Rules” in [§44(2)] of the Regulation shall refer to the documents noted in each of the following subparagraphs. Provided, That, in the case of listed foreign corporations, the Exchange may exempt the submission of documents under subparagraph 1(b)(i) if it deems it inevitable. (Amended on December 26, 2005; September 22, 2008; February 3, 2009; August 31, 2015; May 3, 2019)

1. In the case of change of the disclosure officer, the following documents:

(a) One (1) copy of the written report under [Disclosure Form No. 5];

(b) Any of the following documents:

(i) For the person falling under [§2(4)1] of the Regulation: One (1) copy of corporate registration certificate; and

(ii) For the person falling under [§2(4)2] of the Regulation: One (1) copy of the power of attorney of the relevant KOSDAQ-listed corporation specified in [Disclosure Form No. 10];

(c) Written personal acceptance of the responsibilities of disclosure officer in accordance with [Disclosure Form No. 6].

2. In the case of change of disclosure staff: One (1) copy of the written report under [Disclosure Form No. 5]. In such cases, in the case of a KOSDAQ-listed corporation that has appointed the disclosure agent, a written report on the appointment of disclosure agent under [Disclosure Form No. 7] shall also be submitted.

(2) The training courses that a disclosure officer and disclosure staff (including disclosure agents; the same hereinafter in this Article) are required to complete pursuant to [§44(5)] of the Regulation shall be each of the followings. Provided, That, in cases where the custodian or preservative custodian under the Debtor Rehabilitation and Bankruptcy Act is deemed as the disclosure officer as it falls under the proviso to [§2(4)] of the Regulation, the provisions of subparagraphs 1 through 4 may not apply with respect to the training courses that disclosure officer shall complete: (Amended on February 3, 2009; September 20, 2010; August 31, 2015; April 27, 2016; May 3, 2019)

1. Training courses for disclosure officers or disclosure staff that are provided by the Exchange or the KOSDAQ-listed Corporations Association (hereinafter referred to as “the Association”);

2. Presentation sessions on disclosure-related laws and regulations organized by the Exchange or the Association;

3. Education programs for unfaithful disclosure corporations under [§36] of the Regulation; and

4. In addition to subparagraphs 1 through 3, any other education programs recognized by the Exchanges.

(3) The person who shall complete the training courses under each subparagraph of paragraph (2) and the deadlines for the completion thereof shall be as noted in each of the following subparagraphs. Provided, That this shall not apply to the case where the Exchange deems the completion of training courses is unnecessary. (Amended on August 31, 2015)

1. The disclosure officers and staff who are newly reported to the Exchange (including changes thereto) shall complete the training courses under paragraph 2(1) within six (6) months from the date of reporting (the listing date in the case of initial listing);

2. The disclosure officers and disclosure staff other than those noted in subparagraph 1 shall complete the training courses under paragraph (2)1 at least once a year. Provided, That this shall not apply to the year during which the training course under subparagraph 1 has been completed, and for the disclosure officers and staff of the KOSDAQ-listed corporation that was selected as an outstanding disclosure corporation, this shall not apply to the year in which the month of selection falls; and

3. Notwithstanding subparagraphs 1 and 2, for the education programs noted in paragraph (2)3, at least one of the disclosure officer and disclosure staff of the relevant corporation shall complete the programs as specified by the Exchange.

(4) When the disclosure officer and staff have completed the training courses under the provisions of paragraph (2), they shall submit a document certifying such fact to the Exchange without delay. Provided, That this provision shall not apply to the case where the institution responsible for the training courses directly notifies the Exchange of the status of completion of the training courses. (Amended on February 3, 2009)

(5) Notwithstanding paragraphs (2) and (3), in cases where the disclosure officer and disclosure staff under [§22] of the Regulation complete the training courses that are provided separately by the Exchange, it shall be deemed that the training courses under [§36] and [§44(5)] of the Regulation have duly been completed. [August 31, 2015]

§21-2. Request for Replacement of Disclosure Officer, etc. Regarding Training, etc.

(1) “Training courses specified in the Enforcement Rules” in [§44(8)] of the Regulation shall refer to the training courses falling under any of the followings:

1. The specialized training courses under [§21(2)1]; and

2. The education programs under [§21(2)3].

(2) Pursuant to [§44(8)] of the Regulation, in cases where a disclosure officer and disclosure

staff (including disclosure agents; the same hereinafter in this Article) of a KOSDAQ-listed corporation fails to complete the training courses under each subparagraph of paragraph (1), the Exchange may request the relevant KOSDAQ-listed corporation for replacement of the disclosure officer and disclosure staff, within one month from the end of each year. (Amended on May 3, 2019)

(3) In cases where a KOSDAQ-listed corporation fails to replace the disclosure officer and the disclosure staff as requested within one (1) month from the date of the request for replacement pursuant to paragraph (2), the demerit points specified in each of the following subparagraphs may be imposed on the relevant corporation. Provided, That, if, as a result of the imposition of such demerit points, the relevant corporation may be subject to the listing maintenance review pursuant to the provisions of [§56(1)12] of the KOSDAQ Market Listing Regulation, the demerit points may be reduced or exempted through the deliberation by the Committee. (Amended on May 2, 2018, December 9, 2022; July 10, 2025)

1. Case of failing to change both of the disclosure officer and disclosure staff: two (2) points; and

2. Case of failing to change either the disclosure officer or disclosure staff: one (1) point.

(4) [§17-2(3)] shall apply *mutatis mutandis* with respect to the replacement under paragraph (3).

(5) In the case of imposing demerit points pursuant to paragraph (3), the Exchange may publish such fact, etc. through disclosure media.

[August 31, 2015]

§21-3. Qualifications of Disclosure Agents

“A person who meets the qualification requirements set forth in the Enforcement Rules” in [§44-2(1)] of the Regulation shall refer to the person who meets all of the requirements in each of the following subparagraphs: (Amended on July 28, 2020)

1. It shall be a person who falls under any of the following items:

(a) A person who has more than two (2) years of experience as a disclosure staff of a KOSDAQ-listed corporation (including KOSPI-stock-listed corporations; the same hereinafter in this Article);

(b) A person who is qualified as a lawyer;

(c) A person who is qualified as a certified public accountant and has served for not less than two (2) years in the field of auditing or business consulting; and

(d) A person who has served for not less than two (2) year in the businesses of corporate finance, research and analysis or operation of proprietary property of a company that is engaged in the investment trading business or investment brokerage business under

Article 8 of the Act.

2. The accumulated demerit points imposed as having been designated as an unfaithful disclosure corporation, as the disclosure staff of a KOSDAQ-listed corporation, during the latest two (2) years shall not exceed fifteen (15). In such cases, when the sum of demerit points is calculated based on the disclosure agent noted in subparagraph 1(a), it shall be based on the demerit points imposed on the cause of being designated as an unfaithful disclosure corporation after submitting a written report on the appointment of a disclosure agent to the Exchange.

3. In the case of the disclosure agent of listed foreign corporations under [§22] of the Regulation, it shall be a person who has an address or residence in Korea and is fluent both in Korean and the language of home country. Provided, That, in the case of appointing such person as an assistant, it shall be deemed that the relevant requirement is met;

4. It shall be a person who has completed the training course offered for disclosure staff under [§21(2)1].

[May 3, 2019]

§21-4. English Disclosure

(1) “Matters stipulated in the Enforcement Rules” in [§46] of the Regulation shall refer to cases where a sustainable management report in subparagraph 18 of [§13] has been disclosed.

(2) To ensure the smooth operation of English disclosure, the Exchange may support the English translation of Korean disclosures by corporations listed on the KOSDAQ Market.
(Amended on February 27, 2026)

[November 13, 2024]

§21-5. Deemed Reporting Time of Disclosure Matters

“Cases where a report is made in accordance with the Enforcement Rules due to unavoidable circumstances” in the latter part of the part other than each subparagraph of [§50-7] of the Regulation and the latter part of the part other than each subparagraph of [§50-10] of the Regulation shall refer to cases where the report is made by 30 minutes before the start of regular trading market on the day following the reporting deadline.

[April 24, 2026]

§21-6. Matters subject to Inquired Disclosure

(1) The matters subject to inquired disclosure pursuant to [§50-9(1)] of the Regulation and [§50-12(1)] of the Regulation shall be any of the following subparagraphs:

1. Merger under subparagraph 3(c) of [§50-7] of the Regulation and subparagraph 3(b) of [§50-10] of the Regulation;

2. Case where the audit opinion on the audit report submitted pursuant to subparagraph 5(d) of [§50-7] of the Regulation and subparagraph 5(f) of [§50-10] of the Regulation is other than “qualified”; and

3. Case under the disposition to revoke registration by the Financial Services Commission under subparagraph 3(e) of [§50-7] of the Regulation and subparagraph 3(d) of [§50-10] of the Regulation.

(2) The rumors or reports under [§50-9(4)] of the Regulation and [§50-12(4)] of the Regulation shall refer to contents and articles collected by the Exchange that are published in general daily newspapers or special daily newspapers in the economic field under the Act on the Promotion of Newspaper, etc. that have a nationwide distribution area.

(3) A company listed business development collective investment securities may disclose (hereinafter referred to as “interim disclosure”) that the relevant company is in the process of making a decision in response to an inquired disclosure under [§50-9(1)] of the Regulation and [§50-12(1)] of the Regulation.

(4) A company listed business development collective investment securities that has made an interim disclosure pursuant to paragraph (3) shall re-disclose the specific progress of the relevant decision-making process from the date of the interim disclosure to the date of the final disclosure within one (1) month from the date of such disclosure. Provided that it is deemed practically difficult to re-disclose the finalized details or progress within one (1) month from the date of the interim disclosure, the relevant company listed business development collective investment securities may re-disclose within the period that it specified at the time of the interim disclosure.

(5) A company listed business development collective investment securities that makes an interim disclosure pursuant to paragraphs (3) and (4) shall make the disclosure by attaching supporting materials that confirm the fact that the decision-making process is in progress.

[April 15, 2026]

§21-7. Filing of Significant Lawsuit

“ Litigation, etc. as prescribed in the Enforcement Rules” in subparagraph 5(c) of [§50-10] of the Regulation shall refer to a lawsuit that has a significant impact on the validity of securities issued by a company listed business development investment company stocks, or the management, collective investment assets, etc. of a company listed business development investment company stocks.

[April 15, 2026]

§21-8. Making Changes to Existing Disclosure

“Details prescribed in the Enforcement Rules” in subparagraph 3 of [§50-13] of the Regulation shall refer to any for the following subparagraphs:

1. When disclosing a change of 50% or more of the total acquisition amount or total disposal amount during a quarter in the disclosure contents regarding the acquisition or disposal of assets under subparagraph 1(a) of [§50-7] of the Regulation and subparagraph 1(a) of [§50-10] of the Regulation;
2. When disclosing a change of 50% or more of the change rate in the disclosure contents regarding the change in valuation amount under subparagraph 1(b) of [§50-7] of the Regulation and subparagraph 1(b) of [§50-10] of the Regulation;
3. When disclosing a change of 0% or more in the quantity change in the disclosure contents regarding additional acquisitions and partial or whole disposals under subparagraphs 1(c) and 1(d) of [§50-7] of the Regulation and subparagraphs 1(c) and 1(d) of [§50-10] of the Regulation; and
4. When disclosing a change of 50% or more of the amount changed in the disclosure contents regarding additional acquisitions and partial or whole disposals under subparagraph 1(e) of [§50-7] of the Regulation and subparagraph 1(e) of [§50-10] of the Regulation

[April 15, 2026]

§21-9. Method of Publication of Facts of Designation as Unfaithful Disclosure Company

Facts of unfaithful disclosure posted pursuant to [§50-16(2)] of the Regulation may be announced by a separate method if the Exchange deems it necessary.

[April 15, 2026]

§21-10. Suspension and Resumption of Trading

(1) Pursuant to [§50-18(2)] of the Regulation, the period of suspension of trading for an issue whose trading is suspended pursuant to [§50-18(1)] of the Regulation shall be any of the following subparagraphs:

1. In cases of falling under [§50-18(1)1] of the Regulation, trading shall resume when thirty (30) minutes have elapsed after the results of the inquired disclosure have been disclosed from the time the violation is confirmed. Provided that, if the time of disclosure is after sixty (60) minutes before the closing of the regular trading session, the trading shall resume on the following trading day, and if the time of disclosure is before the opening of the regular trading session, the trading shall resume when thirty (30) minutes have elapsed after the opening of the regular trading session; and
2. Pursuant to [§50-18(1)2] of the Regulation, for one (1) day if the Exchange deems it necessary for investor protection. Provided that the period may be extended if the Exchange deems it necessary.

(2) The calculation of the period under paragraph (1) shall be based on trading days (including trading suspension days) pursuant to [§4(3)] of the KOSDAQ Market Business Regulations.

[April 15, 2026]

§21-11. Reporting of Disclosure Officer and Disclosure Staff, etc.

When reporting or reporting a change of disclosure officer and disclosure staff pursuant to [§50-23(2)] of the Regulations, the report shall be made together with the documents specified in each of the following subparagraphs:

1. In the case of a change, etc. of the disclosure officer, the following documents:

(a) One (1) copy of the report under [Disclosure Form No. 7-1]

(b) Any of the following documents:

(i) For disclosure officer of a company listed business development investment company stocks: A copy of corporate registration; and

(ii) For disclosure officer of a company listed business development investment trust beneficiary certificates: A copy of the power of attorney for disclosure authority of the business development collective investment business entity under [Disclosure Form No. 10-2].

(c) Confirmation of consent regarding the performance of duties under [Disclosure Form No. 7-2]

2. In the case of a change, etc. of the disclosure staff, one (1) copy of the report under [Disclosure Form No. 7-1]

[April 15, 2026]

§21-12. [Deleted on September 13, 2013]

§21-13. [Deleted on September 13, 2013]

CHAPTER V. SUPPLEMENTARY PROVISIONS

§22. Registration of Submitters of Electronic Documents

(1) “Manner specified in the Enforcement Rules” in [§55(1)] of the Regulation, shall means that the submitter connects to the electronic disclosure system and register the matters relating to submission of electronic documents such as the address and name of the submitter. (Amended on February 3, 2009)

(2) When the registration of submitter is completed pursuant to paragraph (1), the Exchange shall issue a certificate of registration to the submitter.

§23. Computation of Disclosure Periods

(1) Unless otherwise specified in these Enforcement Rules, the computation of time periods with respect to disclosure shall be made according to each method specified in the following subparagraphs: (Amended on February 3, 2009; February 27, 2013; July 28, 2020)

1. The first day of a period shall not be included in the computation;
2. If a period is fixed by the day, it shall be computed based on the trading day; and
3. If a period is computed by the week, month or year, it shall be computed according to the calendar.

(2) In computing the periods under [§6(1)2(e)(iv)], the proviso to [§10(2)], [§28], [§68] and [§14-2] of the Regulation, the provisions of paragraph (1)2 shall not apply. (Amended on December 26, 2005; February 3, 2009; July 3, 2009; February 9, 2011; April 30, 2015)

(3) Notwithstanding the provisions of paragraphs (1) and (2), the market holidays under [§5(1)4] of the KOSDAQ Market Business Regulation shall be counted in the computation of disclosure periods. [December 26, 2005]

(4) The deadlines for a disclosure by the same day, the next day and in the afternoon in these Enforcement Rules shall be 18:00 hours of the respective day, and the reporting deadline for the collective investment companies, etc. under the provisions of [§71] of the Regulation shall be up to the operating hours of the electronic disclosure system. [December 26, 2005] (Amended on February 3, 2009)

(5) Notwithstanding the provisions of paragraph (4) and [§5], the Exchange may extend the disclosure deadlines when it is deemed inevitable, considering such factors as a failure of the electronic disclosure system and disclosure processing time, etc. [December 26, 2005] (Amended on February 3, 2009)

§24. Public Opinion Gathering

Public opinion gathering pursuant to [§74-2] of the Regulation shall be governed by the provisions of [§5] of the Internal Regulations Management Regulation and [§6] of the Regulations Management Regulation.

[May 6, 2020]

ADDENDA
(January 24, 2005)

§1. Effective Date

These Enforcement Rules shall become effective on the date when the Exchange is incorporated.

§2. Abolition of Previous Enforcement Rules

On the effective date of these Enforcement Rules, the Enforcement Rules on the Regulation of Disclosure of the KOSDAQ Market shall be abolished.

§3. Interim Measures Following the Abolition of Previous Enforcement Rules

Actions taken pursuant to the Enforcement Rules of the Regulation on Disclosure of the KOSDAQ Market prior to the effective date of these Enforcement Rules shall be construed as the actions taken pursuant to these Enforcement Rules.

ADDENDA
(December 26, 2005)

§1. Effective Date

(1) These Enforcement Rules shall become effective on April 1, 2006. Provided, That the amended provisions of [§11(1)3-2 & 3-3] shall become effective on December 26, 2005.

(2) The amended provisions of [§6(3), §9(3) and §14(4) & (5)] shall become effective on January 1, 2006.

ADDENDUM
(October 30, 2006)

These Enforcement Rules shall become effective on November 1, 2006. Provided, That the amended provisions of [§11(1)2 & 3-2] shall become effective on December 1, 2006.

ADDENDA
(May 14, 2007)

§1. Effective Date

These Enforcement Rules shall become effective on May 17, 2007.

§2. Examples of Application

The amended provisions of [§11(1)2] shall apply starting with the fiscal year starting after

December 31, 2006.

ADDENDUM
(August 2, 2007)

These Enforcement Rules shall become effective on August 6, 2007.

ADDENDUM
(September 22, 2008)

These Enforcement Rules shall become effective on October 1, 2008. Provided, That the amended provisions of [§9] and [§9-2], [Annex 1] and [Disclosure Form No. 5] shall be put into effect on February 4, 2009. .,

ADDENDUM
(February 3, 2009)

These Enforcement Rules shall become effective on February 4, 2009. Provided, That the amended provisions of [§18] shall be put into effect on March 2, 2009.

ADDENDUM
(July 3, 2009)

These Enforcement Rules shall become effective on July 6, 2009.

ADDENDUM
(September 25, 2009)

These Enforcement Rules shall become effective on September 28, 2009

ADDENDA (Enforcement Rules of KOSDAQ Market Listing Regulation)
(December 4, 2009)

§1. Effective Date

These Enforcement Rules shall become effective on December 7, 2009

§4. Amendment of Other Regulation

The new provisions of [§18-2] of the Enforcement Rules of KOSDAQ Market Disclosure Regulation stipulated below shall be established:

§18-2. Matters to be reported

In the case of filing the report pursuant to [§38(13)] of the Regulation, the written confirmation of nominal company noted in [Listing Form 12-2] specified in the Enforcement Rules of the KOSDAQ Market Listing Regulation shall be submitted.

ADDENDUM
(December 18, 2009)

These Enforcement Rules shall become effective on December 21, 2009

ADDENDA
(September 1, 2010)

§1. Effective Date

These Enforcement Rules shall become effective on September 6, 2010.

§2. Effective Date of the KOSDAQ Market Disclosure Regulation

“The date specified in the Enforcement Rules” noted in ADDENDUM dated on April 21, 2010 of the Regulation shall refer to September 6, 2010.

ADDENDA
(September 20, 2010)

§1. Effective Date

These Enforcement Rules shall become effective on September 27, 2010.

§2. Exception in Application

The amended provision of [§18(3)] shall apply starting with the company that receives the prior notice for the designation as unfaithful disclosure designation after the effective date of these Enforcement Rules.

ADDENDA
(February 9, 2011)

§1. Effective Date

These Enforcement Rules shall become effective on March 1, 2011.

§2. Exception for Inquired Disclosure

The amended provisions of [§9, §14 and §23] shall apply starting with the company that receives the request for inquired disclosure after the effective date of these Enforcement Rules.

ADDENDA
(March 4, 2011)

§1. Effective Date

These Enforcement Rules shall become effective on March 7, 2011.

§2. Effective Date of KOSDAQ Market Listing Regulation

The date specified in Addendum (dated March 2, 2011) of the KOSDAQ Market Listing Regulation shall refer to May 2, 2011.

ADDENDA
(June 15, 2011)

§1. Effective Date

These Enforcement Rules shall become effective on June 20, 2011.

§2. Exception in Application

The amended provisions of Annex 1 shall apply starting with the company that is designated as an unfaithful disclosure corporation after the effective date of these Enforcement Rules.

ADDENDA
(September 26, 2011)

§1. Effective Date

These Enforcement Rules shall become effective on October 4, 2011.

§2. Exception in Application

The amended provisions of Annex 1 of these Enforcement Rules shall apply starting with the first company that is warned for designation as an unfaithful disclosure corporation after the effective date of these Enforcement Rules.

ADDENDUM
(November 14, 2011)

These Enforcement Rules shall become effective on November 21, 2011.

ADDENDA
(April 18, 2012)

§1. Effective Date

These Enforcement Rules shall become effective on April 23, 2012.

§2. Exception in Filing a Report about Disclosure Officer

The amended provisions of [§21(1)1b] shall apply starting with the company that files a report about disclosure officer after the effective date of these Enforcement Rules.

§3. Exception in Applying the Guidelines for Deliberation of Penalty against Unfaithful Corporation

The amended provisions of Annex 1 shall apply starting with the company that receives the prior notice on designation as unfaithful disclosure corporation after the effective date of these Enforcement Rules.

ADDENDA
(June 22, 2012)

§1. Effective Date

These Enforcement Rules shall become effective on July 1, 2012.

§2. Exception in Imposing Measure against Unfaithful Disclosure Corporation

The amended provisions of [§16(2) and §18(3)] and Annex 1 shall apply starting with the company that receives the prior notice on designation as unfaithful disclosure corporation after the effective date of these Enforcement Rules.

ADDENDUM
(February 27, 2013)

These Enforcement Rules shall become effective on March 4, 2013. Provided, That the amended provisions of [§7-2] and [§8] shall be put into effect on April 1, 2013 and the amended provisions of [§4-2] shall be put into effect on May 2, 2013.

ADDENDA
(March 26, 2013)

§1. Effective Date

These Enforcement Rules shall become effective on April 2, 2013.

§2. Effective Date of KOSDAQ Market Disclosure Regulation

The “the date specified in the Enforcement rules” noted in Addendum of the KOSDAQ Market Disclosure Regulation (amended on February 22, 2013) shall refer to April 2, 2013.

ADDENDA
(June 12, 2013)

§1. Effective Date

These Enforcement Rules shall become effective on July 1, 2013.

§2. Effective Date of KOSDAQ Market Disclosure Regulation

In relation to the amended provisions of [§2(29) and §30] and Chapter VI of Part I, which is noted in Addendum of the KOSDAQ Market Disclosure Regulation dated on February 22, 2013, the “date specified in the Enforcement Rules” shall refer to July 1, 2013. .

ADDENDA
(July 16, 2013)

§1. Effective Date

These Enforcement Rules shall become effective on July 29, 2013.

§2. Exception to Application of the Cause of Disclosure Withholding by the Exchange

The amended provisions of [§19-2(1)] shall apply starting with the company that is designated as an unfaithful disclosure corporation after the effective date of these Enforcement Rules.

ADDENDA
(September 13, 2013)

§1. Effective Date

These Enforcement Rules shall become effective on September 17, 2013.

§2. Amendment of other provisions

Provisions of [§21-2 through §21-13] shall be deleted.

[Annex 2] and [Disclosure Form No. 10] shall be deleted

ADDENDUM

(April 30, 2015)

These Enforcement Rules shall become effective on May 4, 2015.

ADDENDA
(August 31, 2015)

§1. Effective Date

These Enforcement Rules shall become effective on September 7, 2015.

§2. Exception to Application of the Procedure for the Designation of Unfaithful Disclosure Corporations and Deliberation Criteria for the Sanction against Unfaithful Disclosure

The amended provisions of [§15(3)] and [Annex 1] shall apply starting with the corporation that receives a prior notice for the designation of unfaithful disclosure corporation after the effective date of these Enforcement Rules.

§3. Exception to Application of the Exemption of Training for the Disclosure Officers, etc. of Outstanding Disclosure Corporations

The exemption of training for the disclosure officer and the disclosure staff of the KOSDAQ-listed corporation which is selected as an outstanding disclosure corporation in the amended provisions of [§21(3)2] shall apply starting with the disclosure officer and staff of the outstanding disclosure corporation which is selected after the effective date of these Enforcement Rules.

§4. Exception to Application of the Company Exempted from the Confirmation Process

The amended provisions of [§4-2(1)] shall apply to the first trading day of May that arrives after the effective date of these Enforcement Rules

§5. Exception to the Request for Replacement of Disclosure Officer Who Failed to Complete Training Courses

Notwithstanding the amended provisions of [§21-2(2)], when the Exchange recognizes that it was inevitable for a KOSDAQ-listed corporation not to complete the training courses for the year only that ends first after the effective date of these Enforcement Rules, and the relevant corporation completes the training courses that the Exchange separately provides, by the June 30, 2016, the Exchange shall not make the request for the replacement pursuant to the relevant regulation.

ADDENDUM
(April 27, 2016)

These Enforcement Rules shall become effective on May 2, 2016.

ADDENDUM

(July 25, 2016)

These Enforcement Rules shall become effective on August 1, 2016.

ADDENDUM

(December 29, 2016)

These Enforcement Rules shall become effective on January 2, 2017.

ADDENDA

(February 27, 2017)

§1. Effective Date

These Enforcement Rules shall become effective on April 3, 2017. Provided, That the amended provisions of item (b) of subparagraph 2 of [Annex 1] shall become effective on March 2, 2017.

§2. Exception to Applications

The amended provisions of [Annex 1] shall apply starting with the corporation that receives a prior notice on designation as unfaithful disclosure corporation after the effective date of these Enforcement Rules.

ADDENDUM

(December 20, 2017)

These Enforcement Rules shall become effective on May 2, 2018.

ADDENDA

(January 31, 2018)

§1. Effective Date

These Enforcement Rules shall become effective on February 1, 2018.

§2. Exception to Applications

The amended provisions of [Annex 1] shall apply starting with the corporation that receives a prior notice on designation as unfaithful disclosure corporation after the effective date of these Enforcement Rules.

ADDENDA

(March 6, 2018)

§1. Effective Date

These Enforcement Rules shall become effective on March 12, 2018.

§2. Exception in applying Guidelines for Deliberation of Disciplinary Actions against Unfaithful Disclosure

The amended provisions of [Annex 1] shall apply starting with the corporation that receives a prior notice on designation as unfaithful disclosure corporation after the effective date of these Enforcement Rules.

ADDENDA

(May 2, 2018)

§1. Effective Date

These Enforcement Rules shall become effective on May 8, 2018. Provided, That, the amended provisions of subparagraph 3(a)(iii) of [Annex 1] shall become effective on August 1, 2018.

§2. Exception in applying Guidelines for Deliberation of Disciplinary Actions against Unfaithful Disclosure concerning Investor Relations Sessions

The amended provisions of subparagraph 3(a)(iii) of [Annex 1] shall apply starting with the corporation that receives a prior notice on designation as unfaithful disclosure corporation after the effective date of these Enforcement Rules.

ADDENDUM

(September 20, 2018)

These Enforcement Rules shall become effective on October 1, 2018.

ADDENDA

(May 3, 2019)

§1. Effective Date

These Enforcement Rules shall become effective on May 7, 2019.

§2. Special Cases concerning Disclosure Agent of Listed Foreign Corporations

Any person who falls under any of the following subparagraphs as of the effective date of these Enforcement Rules shall be deemed to be a disclosure agent meeting the qualification requirement under the amended provisions of [§21-3].

1. A person who is notified to the Exchange as a disclosure agent pursuant to the previous provisions of [§11-2(2)] as of the effective date of these Enforcement Rules; and

2. A person who has been notified to the Exchange as a disclosure agent pursuant to the previous provisions of [§11-2(2)] for a total of two (2) years or more.

§3. Case of Application concerning Deliberation of Disciplinary Actions against Unfaithful Disclosure

The amended provisions of [§15(9)] shall apply starting with the corporation that receives a prior notice on designation as unfaithful disclosure corporation after the effective date of these Enforcement Rules.

ADDENDUM
(September 26, 2019)

These Enforcement Rules shall become effective on September 30, 2019.

ADDENDUM
(February 25, 2020)

These Enforcement Rules shall become effective on February 26, 2020.

ADDENDA
(May 6, 2020)

§1. Effective Date

These Enforcement Rules shall become effective on May 8, 2020.

§2. Amendment of Other Regulation

2. The new provisions of [§24] stipulated below shall be established.

Public opinion gathering pursuant to [§74-2] of the Regulation shall be governed by the provisions of [§5] of the Internal Regulations Management Regulation and [§6] of the Regulations Management Regulation.

ADDENDA
(July 28, 2020)

§1. Effective Date

These Enforcement Rules shall become effective on August 5, 2020. Provided, That, the

amended provisions of [§4-2] and [§18(1)10] shall become effective on September 7, 2020.

§2. Application Case of the Designation of Unfaithful Disclosure Corporations

1. The amended provisions of [§15(9)] shall apply starting with the corporation that is warned for designation as an unfaithful disclosure corporation after the effective date of these Enforcement Rules.
2. The amended provisions of [§18(3)] shall apply starting with the corporation to be designated as an unfaithful disclosure corporation after the effective date of these Enforcement Rules.

§3. Special Case regarding Corporations Exempted from Verification Procedure

Notwithstanding the amended provisions of [§4(2)2], the KOSDAQ-listed corporation that meets the requirements specified in the amended provisions of [§4(2)1] on the effective date of Article 1 of this Addenda shall be designated as the corporation exempted from verification procedure.

ADDENDA

(KOSDAQ Market Listing Regulation / October 27, 2021)

§1. Regulation on the Enforcement Rules of the KOSDAQ Market Listing Regulation

The wholly amended KOSDAQ Market Listing Regulation shall become effective on November 1, 2021. Provided, That, the amended provisions of [§2(1)1(f)(ii)], the latter part of [§69(2)], the proviso to [§70(1)9(d)(iii)], the proviso to [§73(2)9(c)] and [§76(1)2] shall become effective from the date separately specified by the Exchange in consideration of the promulgation date of the amendments to the Enforcement Decree of the Corporate Tax Act.

§2. through §9. [Omitted]

§10. Amendment of Other Regulations

(1) [Omitted]

(2) The Enforcement Rules of the KOSDAQ Market Disclosure Regulation shall be amended in part as follows.

Of [§4-2(5)1], “[§29] of the KOSDAQ Market Listing Regulation” shall be “[§18] of the KOSDAQ Market Listing Regulation”.

Of [§4-2(5)2], “[§28-2] of the KOSDAQ Market Listing Regulation” shall be “[§52] of the KOSDAQ Market Listing Regulation”.

Of [§7(1)1(e)], “[§23(2)] of the KOSDAQ Market Listing Regulation” shall be “[§51(1)] of the KOSDAQ Market Listing Regulation”.

Of [§15(6)], “[§47] of the KOSDAQ Market Listing Regulation” shall be “[§23] of the KOSDAQ Market Listing Regulation”.

Of [§15(9)2], “[§38(2)5(l)] of the KOSDAQ Market Listing Regulation” shall be “[§56(1)3(k)] of the KOSDAQ Market Listing Regulation”.

Of [§16(3)], “[§38(2)5(l)] of the KOSDAQ Market Listing Regulation” shall be “[§56(1)3(k)] of the KOSDAQ Market Listing Regulation”.

Of [§16(4)], “[§38-2(1)] of the KOSDAQ Market Listing Regulation” shall be “[§57(1)] of the KOSDAQ Market Listing Regulation”.

Of [§17-2(2)], “[§38(2)5(l)] of the KOSDAQ Market Listing Regulation” shall be “[§56(1)3(k)] of the KOSDAQ Market Listing Regulation”.

Of [§17-3(1)], “[§38(2)5(l)] of the KOSDAQ Market Listing Regulation” shall be “[§56(1)3(k)] of the KOSDAQ Market Listing Regulation”.

Of [§18(1)6], “[§29(1)5(d)] of the Enforcement Rules of the KOSDAQ Market Listing Regulation” shall be “[§19(1)3(b)] of the Enforcement Rules of the KOSDAQ Market Listing Regulation”, and of [§18(1)7], “[§29(1)5(d) and (e)] of the Enforcement Rules of the KOSDAQ Market Listing Regulation” shall be “[§19(1)3(b)(c) and (e)] of the Enforcement Rules of the KOSDAQ Market Listing Regulation”.

Of [§18(6)], “[§47] of the KOSDAQ Market Listing Regulation” shall be “[§23] of the KOSDAQ Market Listing Regulation”.

Of [§18-2], “[§38(2)5(l)] of the KOSDAQ Market Listing Regulation” shall be “[§56(1)3(k)] of the KOSDAQ Market Listing Regulation”.

Of [§21-2(3)], “[§38(2)5(l)] of the KOSDAQ Market Listing Regulation” shall be “[§56(1)3(k)] of the KOSDAQ Market Listing Regulation”.

Of 3(b)(vii) in [Annex 1], “[§30(2)] of the KOSDAQ Market Listing Regulation” shall be “[§19(2)] of the KOSDAQ Market Listing Regulation”.

(3) through (6) [Omitted].

ADDENDA

(Regulation No. 2003 / November 25, 2021)

§1. Effective Date

These Enforcement Rules shall become effective on April 1, 2021. Provided, That, the amended provision of [§5-2] shall become effective on December 13, 2021.

§2. Application Case

The amended provisions of [§15], [§15-2] and [Annex 1] shall apply starting with the corporation that receives a prior notice on designation as an unfaithful disclosure corporation after the effective date of these Enforcement Rules.

ADDENDA
(KOSDAQ Market Listing Regulation)
(Regulation No. 2091 / December 9, 2022)

§1. Effective Date

These Enforcement Rules shall become effective on December 12, 2022.

§2. through §6. [Omitted]

§7. Amendment of Other Regulations

The Enforcement Rules of the KOSDAQ Market Disclosure Regulation shall be amended in part as follows.

Of [§15(9)2], the proviso to [§15-2(4)], the proviso to [§16(3)], the proviso to the part other than each subparagraph of [§17-2(2)], the proviso to [§17-3(1)], the proviso to [§18-2], and the proviso to the part other than each subparagraph of [§21-2(3)], “ [§56(1)3(k)] of the KOSDAQ Market Listing Regulation” shall be “ [§56(1)3(j)] of the KOSDAQ Market Listing Regulation”.

ADDENDUM
(Regulation No. 2111 / March 29, 2023)

These Enforcement Rules shall become effective on April 1, 2024.

ADDENDUM
(Regulation No. 2232 / May 23, 2024)

These Enforcement Rules shall become effective on May 27, 2024.

ADDENDUM
(Regulation No. 2269 / November 14, 2024)

These Enforcement Rules shall become effective on December 1, 2024.

ADDENDUM
(Regulation No. 2302 / February 27, 2025)

These Enforcement Rules shall become effective on March 4, 2025.

ADDENDA
(Regulation No. 2321 / March 28, 2025)

§1. Effective Date

These Enforcement Rules shall become effective on April 1, 2025. Provided that the amended provisions of [§13(22)] shall become effective on July 1, 2025.

§2. Case of Application of Voluntary Disclosure on Improvement Plan

The amended provisions of [§13(22)] shall apply starting with the corporation granted an improvement period after the effective date of these Enforcement Rules.

§3. Case of Application of Deferral of Designation of Unfaithful Disclosure Corporation

The amended provisions of [§15-2(1)] shall apply starting with the corporation that receives a prior notice on the designation as an unfaithful disclosure corporation after the effective date of these Enforcement Rules.

ADDENDA
(Regulation No. 2345 / July 9, 2025)

§1. Effective Date

These Enforcement Rules shall become effective on July 10, 2025. Provided that the amended provisions of Annex Form No. 15 shall become effective on September 3, 2025, and the amended provisions of [§49], [§61(1)4(d)], item 1) of subparagraph 1 of Annex 10, Annex Form No. 29, Annex Form No. 31-2 shall become effective on January 1, 2027.

§2. Amendments of Other Regulations

The Enforcement Rules of the KOSDAQ Market Disclosure Regulation shall be amended in part as follows.

In [§15(9)2], “[§56(1)3(j)]” shall be revised to “[§56(1)12]”.
In [§15-2(4)], “[§56(1)3(j)]” shall be revised to “[§56(1)12]”.
In [§16(3)], “[§56(1)3(j)]” shall be revised to “[§56(1)12]”.
In [§17-2(2)], “[§56(1)3(j)]” shall be revised to “[§56(1)12]”.
In [§17-3(1)], “[§56(1)3(j)]” shall be revised to “[§56(1)12]”.
In [§18-2], “[§56(1)3(j)]” shall be revised to “[§56(1)12]”.
In [§21-2(3)], “[§56(1)3(j)]” shall be revised to “[§56(1)12]”.

ADDENDA
(Regulation No. 2366 / October 20, 2025)

§1. Effective Date

These Enforcement Rules shall become effective on April 1, 2021. Provided, That, the amended provision of [§5-2] shall become effective on October 22, 2025.

§2. Application Case

The amended provisions of [Annex 1] shall apply starting with the corporation that receives a prior notice on designation as an unfaithful disclosure corporation after the effective date of these Enforcement Rules.

ADDENDA
(Regulation No. 2413 / February 27, 2026)

§1. Effective Date

These Enforcement Rules shall become effective on March 1, 2026.

§2. Case of Application concerning Designation of Unfaithful Disclosure Corporation

The amended provisions of [Annex 1] shall apply starting with the corporation that receives a prior notice on the designation as an unfaithful disclosure corporation after the effective date of these Enforcement Rules.

ADDENDUM
(Regulation No. 2434 / April 15, 2026)

These Enforcement Rules shall become effective on April 27, 2026.

ADDENDA
(Regulation No. 2473 / July 2, 2026)

§1. Effective Date

These Enforcement Rules shall become effective on July 3, 2026.

§2. Case of Application concerning Designation of Unfaithful Disclosure Corporation

The amended provisions of [§15(9)] shall apply starting with the corporation that is designated as an unfaithful disclosure corporation after the effective date of these Enforcement Rules.

[Annex 1] Guidelines for Deliberation of Disciplinary Actions against Unfaithful Disclosure

(Amended on December 26, 2005; October 30, 2006; September 22, 2008; February 3, 2009; September 25, 2009; June 15, 2011; September 26, 2011; November 4, 2011; April 18, 2012; June 22, 2012; August 31, 2015; April 27, 2016; July 25, 2016; February 27, 2017; January 31, 2018; March 6, 2018; May 2, 2018; May 3, 2019; October 27, 2021; November 25, 2021; October 20, 2025; February 27, 2026)

Guidelines for Deliberation of Disciplinary Actions against Unfaithful Disclosure

1. Guidelines for Deliberation of Penalty

Matters on designation as unfaithful disclosure corporation and imposition of demerit points shall be deliberated while taking into account the aggravating and mitigating factors on the basis of the motivation and seriousness (impacts on investors) of noncompliance.

[Guidelines for Deliberation of Demerit Points]

Motivation Seriousness	Intentional	Gross negligence	Ordinary negligence	Insignificant error
Serious violation	10 points	8 points	6 points	4 points
Ordinary violation	8 points	6 points	4 points	2 points
Insignificant violation	6 points	4 points	2 points	0 points

2. Guidelines for Determining Motivation and Seriousness of Noncompliance

(a) Motivation for noncompliance

To classify into the following four (4) categories based on the awareness of the fact of noncompliance or such possibility and the degree of negligence of due diligence but taking into consideration such factors as the ability to foresee on the basis of disclosure experiences, what was intended to achieve through the noncompliance, unavoidable circumstance of noncompliance and efforts made to prevent the noncompliance.

(i) Intentional: Case where a violation was committed intentionally or from illegal activities, and as such the intent of the violation can reasonably be estimated through associated facts.

(ii) Gross negligence: Case where the duty of due care has significantly been neglected, or the intent of a violation can partially be estimated through associated facts.

(iii) Ordinary negligence: Case of violating the general duty of due care.

(iv) Insignificant error: Case where the severity of violation is insignificant, or there is any reason for special consideration of the purport, motive or proceedings of the violation.

(b) Seriousness of Noncompliance (Impact on Investors)

- To classify into the following three (3) categories based on the seriousness of noncompliance and its impact on the investment decisions of investors, etc.

- The seriousness of noncompliance can be adjusted by one step higher or lower considering the size of amount in excess of the base value used, the degree of stock price fluctuation, the degree of change in trading volume, the period in violation of disclosure obligations, and the extent of the effect of the noncompliance of disclosure obligations on the investment decisions of investors given the details of noncompliance of disclosure obligations and the business situation of the relevant KOSDAQ-listed corporation.

(i) Serious violation: Cases where the details of disclosure are related to the designation as administrative issue and delisting and have major influence on the decisions of investors, including the disclosure of change of the largest shareholder noted in [§6(1)3(a)(i)] of the Regulation and the matters noted in [§6(1)3(a)(ix)②] of the Regulation and each subparagraph of [§18(1)] of the Enforcement Rules.

(ii) Ordinary violation: Cases where the details of disclosure does neither come under the ‘serious violation’ nor the ‘insignificant violation’.

(iii) Insignificant violation: Voluntary disclosure matters falling under the case that does not meet the base ratio

3. Guidelines for increasing/reducing of demerit points

In determining the demerit points while taking into consideration the aggravating and mitigating factors, up to 4 points shall be added or subtracted, on the basis of Guidelines for Deliberation of Demerit Points shown above, with the maximum demerit points of 14 and minimum demerit point of 0. Provided that, in the case of falling under subparagraph 2 of [§27] of the Regulation (limited to cases where false disclosure has been made; the same hereinafter in subparagraphs 5(a) and (b) below), the demerit points shall not be reduced.

(a) Mitigating factors

(i) Cases where the fact about noncompliance has been reported voluntarily before the Exchange identifies it: -1.0 point

(ii) Cases where there is no record of having been designated as an unfaithful disclosure corporation for the latest two (2) years: -1.0 point

(iii) Cases where a corporation, which has no record of having been designated as an unfaithful disclosure corporation for the latest one (1) year and has reported one or more times of the fact about holding IR sessions during the latest five (5) year, falls under any of the following cases:

② Case of having the record of receiving an award in relation to the corporate disclosure or IR from the relevant organization during the latest three (3) years: -0.5 points;

- ⑥ Case of having no record of receiving a request for inquired disclosures concerning rumors, news, etc. in the latest one (1) year: -0.5 points;
 - ⑦ Case of having reported to the Exchange the fact on holding IR sessions at least one (1) time in the latest one (1) year: -0.5 points;
 - ⑧ Case of having reported to the Exchange the fact on holding IR sessions at least two (2) times in the latest one (1) year: -1.0 point;
 - ⑨ Case where the ratio of timely disclosure corrected is less than 10% or the number of corrections thereof is less than three (3) in the latest one (1) year: -0.5 points;
 - ⑩ Case of having a record of at least one (1) time of disclosure relating to business forecasts and projections in the latest one (1) year: -0.5 point; and
 - ⑪ Case where the ratio of the number of voluntary disclosures (including the explanation disclosure stipulated in [§26-2(1)] of the Regulation) to the total disclosure for the latest one year was 5% or higher and the number of voluntary disclosures made during the latest one year was five (5) or more: -0.5 points.
- (iv) Case where over 10% of the total disclosures made during the latest one (1) year were made in English or at least three (3) disclosures were made in English in the latest one (1) year: -0.5 points
- (v) Case where the matter has occurred in a sequential manner as a part of progression of a specific case and the first disclosure concerning the case has been made within the disclosure deadline: -1.0 point
- (vi) Case of attending the presentation sessions noted in [§21(2)2] or completing the training courses noted in [§21(2)4] for more than four (4) hours: -0.5 points
- (vii) Case of having convened the general meeting of shareholders for the latest fiscal year on a date other than the concentrated date in accordance with the 'Program for Compliance with Distributed Shareholders' Meeting' of the KOSDAQ Listed Corporations Association: -1.0 point
- (viii) In cases where the Articles of Incorporation stipulate that the regular general meeting of shareholders may be held after three (3) months from the end of the fiscal year, and regular general meetings of shareholders have been held in a distributed manner for the past three (3) consecutive fiscal years in accordance with the KOSDAQ Listed Companies Association's "Voluntary Compliance Program for Distributed General Meetings of Shareholders", and where it has been decided at the recent regular general meeting of shareholders that voting rights may be exercised electronically in accordance with Article 368-4, Paragraph 1 of the Commercial Act (excluding cases where the deadline for submitting business reports has been extended in accordance with Article 165, Paragraph 3 of the Financial Investment Services and Capital Markets Act): -0.5 points

(ix) Other cases that are deemed necessary by the Exchange: -1.0 points

(b) Aggravating Factors

(i) Case of submitting false materials for the purpose of concealing or scaling down, or refusing to submit materials: +1.0 point

(ii) Case of having received a prior notice on designation as an unfaithful disclosure corporation within six (6) months of having been imposed of such measures as a request for faithful fulfillment of disclosure obligations pursuant to [§32(5)] of the Regulation: +1.0 point

(iii) Case of having failed to complete the training courses stipulated in [§36] of the Regulation and [§21(2)1] of the Enforcement Rules in the latest one (1) year: +1.0 point

(iv) Case of having been designated as an administrative issue: +0.5 points

(v) Case of having been designated as an unfaithful disclosure corporation for one (1) time in the latest one (1) year (excluding the case of having been designated within the latest one month): +1.0 point

(vi) Case of having been designated as an unfaithful disclosure corporation for two (2) or more times in the latest one (1) year or having been designated as an unfaithful corporation within the latest one (1) month: +2.0 points

(vii) Case of having convened the general meeting of shareholders on the concentrated date of shareholders' general meetings and failed to fulfill the reporting obligations under [§30(2)] of the KOSDAQ Market Listing Regulation with respect to the reasons therefor: +1.0 point

(viii) Case of non-fulfillment of the obligation to establish and publish the regulations on management of internal information pursuant to [§45]: +0.5 points

(ix) Other cases that are deemed necessary by the Exchange: +1.0 point

4. Consolidation Criteria for a Number of Cases of Disclosure Violations

(a) Violations subject to consolidation

When it is recognized that a number of cases of violation of disclosure obligations have occurred by the same or similar act or fact, those cases may be handled by considering as a single case (hereinafter referred to the “consolidated handling”).

(b) Consolidation criteria

- Mitigating factors for demerit points are not applied.
- Of the demerit points taken against each violation of disclosure obligation, the highest

point shall be the base demerit point (referring to the demerit point to be imposed after reflecting aggravating factors; the same hereinafter), and the final demerit point to be imposed shall be calculated by adding one (1) point for each consolidated violation (excluding violations that fall under the base demerit point) to the base demerit point. Provided, That the additional demerit points resulting from the consolidated handling shall be less than half of the base demerit point, and the demerit points may not be added in whole or in part considering the impact of the consolidated violations on the market.

5. Guidelines for Imposition of Fines against Noncompliance, etc.

(a) Cases subject to fine

- In cases where it falls under any of the followings and is deemed necessary to impose a fine in addition to demerit points in order to prevent recurrence of noncompliance of disclosure obligations, the fine shall be imposed additionally.

(i) Case where the demerit points imposed are eight (8) or more;

(ii) Case where, by taking into consideration such factors as recidivism, motivation and significance of the noncompliance of disclosure obligations, it is deemed necessary by the Disclosure Committee; and

(iii) Case where it falls under subparagraph 2 of [§27] of the Regulation.

- In cases where all of the following requirements are met and it is deemed that the noncompliance of disclosure obligations would not recur even if all or a part of the demerit points are imposed with a fine, such demerit points are substituted with a fine. Provided that, in the case of falling under subparagraph 2 of [§27] of the Regulation, demerit points shall not be substituted with a fine:

(i) The relevant corporation shall apply for the substitute imposition;

(ii) The relevant corporation shall not have an issue designated as an administrative issue;

(iii) The relevant corporation shall not have a record of having been designated as an unfaithful disclosure corporation for the latest two (2) years;

(iv) The demerit points accumulated shall be less than eight (8). In such cases, when intending to substitute the entire demerit points with fine, the demerit points shall be less than five (5), but if the demerit point is five (5) or more, those exceeding five (5) may be substituted with fine; and

(v) There shall be no record of having failed to complete the training courses stipulated in [§21(2)1] of the Enforcement Rules in the latest two (2) year.

(b) Imposition guidelines

- Additional imposition of fine = Demerit points for the noncompliance × KRW 4,000,000

[It shall be KRW 10,000,000 in the case where the motivation of noncompliance is “intentional” and the seriousness of noncompliance falls under “serious” or “ordinary”, and, at the same time, having been designated as an unfaithful disclosure corporation for two (2) or more times in the latest one (1) year (limited to the case where the motivation of noncompliance is “intentional” and the seriousness of violation falls under “serious” or “ordinary”) or in the case of falling under subparagraph 2 of [§27] of the Regulation]

- Substitute imposition of fine = Demerit points to be substituted by fine, out of the demerit points for the violation $\times$ KRW 4,000,000.

- In the case of having failed to pay the fine:

- Aggravated demerit points = (Amount of fine unpaid/Amount obtained by multiplying the demerit points imposed by KRW 4,000,000 or 10,000,000) $\times$ 1.2. Provided, That, the figures below the second decimal places shall be truncated.

- The aggravated demerit points imposed for the unpaid fine shall newly be imposed.

(Total demerit points = Demerit points imposed + Aggravated demerit points)

- When the payment is not made by the deadline, a peremptory notice shall be issued to demand to make the payment in the next seven (7) days and, if the payment is not made within that period, the aggravated demerit points shall be imposed on the next day.

- In the case of delisted corporations, the demerit points are not imposed even if the payment was not made by the deadline.

[Annex 2] [Deleted on September 13, 2013]

[Disclosure Form No. 1] Written Objection

(Amended on September 25, 2009; April 18, 2012)

Written Objection

To: Chairperson of the Korea Exchange

With respect to the prior notice on the designation as unfaithful disclosure corporation issued to us on xxxxx (date), we hereby submit a written objection for the reasons noted below:

1. Purpose of objection:

2. Rationale:

** Please state the facts proving that there were no grounds for unfaithful disclosure occurred or the reasons for the occurrence of the grounds for extenuation.*

3. Indication whether or not to appear before the KOSDAQ Market Disclosure Committee and testify the background of the matter, etc. (to attend or not to attend)

4. Request for substitute imposition of fine against noncompliance of disclosure obligation and the reasons (optional)

5. Supporting Documents: Attached

Date: mm/dd/yyyy

Name of company:

Name & signature/seal of the representative director:

[Disclosure Form No. 2] Improvement Plan for Prevention of Unfaithful Disclosure
[September 22, 2008] (Amended on February 3, 2009; April 18, 2012)

Improvement Plan for Prevention of Unfaithful Disclosure

To: Chairperson of the Korea Exchange

Pursuant to [§32(2)] of the KOSDAQ Market Disclosure Regulation, the Korea Exchange and [§16(1)] of the Enforcement Rules of the same Regulation, I, the undersigned, hereby submit the improvement plan for the prevention of unfaithful disclosure as outlined below:

1. The reasons for non-fulfillment of disclosure obligation and the circumstance thereof
2. Detailed improvement plan, including the reform of organizational structure to prevent reoccurrence of unfaithful disclosure, and the implementation schedule of the plan
 - (a) Details of plan
 - (b) Implementation schedule
3. Others

Date: mm/dd/yyyy

Name of company:

Name & signature/seal of the representative director:

[Disclosure Form No. 3] Notification of Fine for Noncompliance with Disclosure Obligations

[February 3, 2009]

Notification of Fine for Noncompliance with Disclosure Obligations

1. Fine levied against: XXX (Name of the company fined)

2. Amount:

3. Payment due date:

4. Payment method:

Method: Wire transfer to the account of the Korea Exchange

Account No.: 000-00-000000 with xxxx Bank

Account holder: The Korea Exchange

Others: Should be paid by cash or cashier's check that can be cashed on the same day

5. Legal base and reasons for imposition of fine

- [§34] of the KOSDAQ Market Disclosure Regulation and [§17] of the Enforcement Rules of the KOSDAQ Market Disclosure Regulation

6. Others

Date: mm/dd/yyyy

Chairperson of the Korea Exchange

[Disclosure Form No. 4] Written Request for Withholding of Disclosure

[February 3, 2009] (Amended on April 18, 2012)

Written Request for Withholding of Disclosure

To: Chairperson of the Korea Exchange

Pursuant to [§42] of the KOSDAQ Market Disclosure Regulation and [§20] of the Enforcement Rules of the same Regulation, I, the undersigned, hereby file a request for withholding of a disclosure for approval as follows:

1. Title of the disclosure to be withheld:
2. Reasons for withholding of the disclosure:
3. Withholding period:
4. Supporting documents: Attached

Date: mm/dd/yyyy

Name of company:

Name & signature/seal of the representative director:

[Disclosure Form No. 4-1] Written Request for Continuous Withholding of Disclosure
[May 2, 2018]

Written Request for Continuous Withholding of Disclosure

To: Chairperson of the Korea Exchange

Pursuant to the proviso to [§42(3)] of the KOSDAQ Market Disclosure Regulation and [§20(3) & (4)] of the Enforcement Rules of the same Regulation, I, the undersigned, hereby file a request for continuous withholding of a disclosure for approval as follows:

1. Title of the disclosure to be continuously withheld:
2. Reasons for continuous withholding:
3. The contract contents to be stated in lieu of the name of the counterparty:
4. Supporting documents: Attached

Date: mm/dd/yyyy

Name of company:

Name & signature/seal of the representative director:

[Disclosure Form No. 5] Written Report on Appointment (New or Change) of Disclosure Officer, etc.

(Amended on December 26, 2005; September 22, 2008; February 3, 2009; November 14, 2011; April 18, 2012; May 3, 2019)

Written Report on Appointment (New or Change) of Disclosure Officer, etc.

To: Chairperson of the Korea Exchange

We hereby report the appointment (change) of our corporation's disclosure officer and staff responsible for disclosure and disclosure agent as follows and confirm that the disclosure officer does not fall under the disqualification criteria noted in [§2(4)] and [§44(6)], and the disclosure agent does not fall under [§44-2(1)] of the KOSDAQ Market Disclosure Regulation:

Category	Department affiliated	Position title	Name	Telephone No.
Disclosure officer				Office: Mobile: E-mail: Fax:
Staff responsible for disclosure				Office: Mobile: E-mail: Fax:
Disclosure agent				Office: Mobile: E-mail: Fax:

* Staff responsible for disclosure: Full-time employee with position grade above the deputy manager.

Date: mm/dd/yyyy

Name of company:

Name & signature/seal of the representative director:

[Disclosure Form No. 6] Acceptance of Responsibilities as Disclosure Officer of KOSDAQ-Listed Corporations

(Amended on September 22, 2008; February 3, 2009; April 18, 2012; August 31, 2015)

Acceptance of Responsibilities as Disclosure Officer of KOSDAQ-Listed Corporations

To: Chairperson of the Korea Exchange

This is to confirm that as a person, falling under [§2(4)1 or 2] of the Regulation, of the KOSDAQ-listed corporation ooo Inc., I do not come under any disqualification criteria noted in [§2(4)] and [§44(6)] of the KOSDAQ Market Disclosure Regulation and I hereby pledge that I shall faithfully and diligently fulfill the responsibilities of the disclosure officer stipulated in the said Regulation and any other securities related laws and regulations and confirm that I have agreed to perform the relevant responsibilities.

Requirements		Yes/No
Or	Full-time registered director	
	A person who participates in meetings that are held to make important decisions such as the board of directors while working full-time at the corporation as an executive director under the Commercial Act*	
And	A person who has not been reported publicly on charges of embezzlement or breach of duty within the past three (3) years	
	A person who has not been sentenced to a fine or heavier punishment for embezzlement or breach of duty within the past three (3) years	

*A person other than a director who conducts the business of the company by using a title which may give the impression he or she is authorized to conduct the business of the company, such as honorary chairperson, chairperson, president, vice-president, executive director, managing director, director, or others (Subparagraph 3 of Paragraph (1) of 3 of-2 of the Commercial Act).

Date: mm/dd/yyyy

Name of company:

Name & signature/seal of the disclosure officer:

[Disclosure Form No. 7] Written Report on Appointment of Disclosure Agent

[December 26, 2005] (Amended on February 3, 2009; November 14, 1011; April 18, 2012; May 3, 2019)

Written Report on Appointment of Disclosure Agent

To: Chairperson of the Korea Exchange

In order to faithfully fulfill the disclosure obligations stipulated in the KOSDAQ Market Disclosure Regulation, the OOO Inc. has appointed XXX (or company name) as its disclosure agent, and XXX (or company name) has agreed to carry out the legal action on behalf of the OOO Inc. as the disclosure agent for the period stated below.

We have confirmed that XXX (or company name) appointed as the disclosure agent does not fall under any of disqualification criteria under [§44-2(1)] of the KOSDAQ Market Disclosure Regulation and we hereby report to the Korea Exchange that our appointed disclosure agent, XXX (or company name), has the legal authority delegated by the OOO Inc. for the period stated below.

1. Disclosure agent: XXX (or company name) (signature/seal)
- Staff in charge: XXX (signature/seal)
2. Appointment period: from ... to ...
3. Documentary proof: Attached

Date: mm/dd/yyyy

Name of company:

Name & signature/seal of the representative director:

[Disclosure Form No. 8] Written Request for Linked Disclosure of Material Business Matters of Subsidiary by Holding Company (New / Change)

[September 1, 2010] (Amended on April 18, 2012; February 27, 2013)

Written Regard for Linked Disclosure of Material Business Matters of Subsidiary by Holding Company (New / Change)

To: Chairperson of the Korea Exchange

Pursuant to [§7] of the KOSDAQ Market Disclosure Regulation and [§7-3] of the Enforcement Rules of the same Regulation, with respect to the disclosure of material business matters of a subsidiary which is a listed corporation, xxx Co. (“this Company”) hereby submits a written request for a linked disclosure in which the reporting of the matters noted in each subparagraph of [§6(1)] of the KOSDAQ Market Disclosure Regulation made by the subsidiary is deemed as the disclosure submitted by this Company, the holding company, through the Exchange’s electronic disclosure system, although this Company does not submit disclosure separately.

1. Reasons for making this application concerning the disclosure matters of listed subsidiary:

2. Date when the linked disclosure to be applied:

3. Changes in the listed subsidiary

		Listed	Unlisted
(New)	Name of subsidiary		
(Change)	Name of the subsidiary of which disclosure is to be applied for linked disclosure		
	Name of the subsidiary of which disclosure is to be excluded from the linked disclosure		

* In the case of a listed subsidiary of which disclosure is applied for the linked disclosure, the ratio of the value of subsidiary’ stocks held by the holding company to the total assets of the holding company shall also be stated.

4. Documentary evidence: Attached

Date: mm/dd/yyyy

Name of company:

Name & signature/seal of the representative director (CEO):

[Disclosure Form No. 9] Performance Report to Improvement Plan for Preventing Unfaithful Disclosure

[August 31, 2015]

Performance Report to Improvement Plan for Preventing Unfaithful Disclosure

To: Chairperson of the Korea Exchange

Pursuant to [§32(2)] of the KOSDAQ Market Disclosure Regulation, and [§16(2)] of the Enforcement Rules thereof, I, the undersigned, submit the performance report to the improvement plan for the prevention of unfaithful disclosure as outlined below:

1. The reasons for non-fulfillment of disclosure obligation and the circumstance thereof;
2. Details of performance regarding the improvement plan prepared by the relevant corporation:
 - (a) Details of the improvement plan;
 - (b) Implementation schedule; and
3. Others.

Date: mm/dd/yyyy

Name of company:

Name & signature/seal of the representative director:

[Disclosure Form No. 10] Power of Attorney for Delegating Authority for Corporate Disclosure to Disclosure Officer of KOSDAQ-listed Corporation

[August 31, 2015]

Power of Attorney for Delegating Authority for Corporate Disclosure to Disclosure Officer of KOSDAQ-listed Corporation

To: Chairperson of the Korea Exchange

We, the undersigned, hereby delegate to XYZ, full-time officer, the authority to carry out the task of corporate disclosure as a disclosure officer on behalf of the undersigned corporation. In addition, we will make sure that XYZ attends the meeting, where the material management decisions are made, including the meeting of the board of directors in order to secure faithful performance of corporate disclosure obligation and take the responsibility in the event of failing to faithfully comply with the disclosure obligation.

Date: mm/dd/yyyy

Name of proxy (disclosure officer)

Date of birth: mm/dd/yyyy

Position title:

Name & signature/seal of the representative director of delegating corporation: